

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORTING

SECTION A: GENERAL DISCLOSURES

I. DETAILS OF THE LISTED ENTITY

1

Corporate Identity Number (CIN) of the Listed Entity

L99999MH1946PLC004768

2

Name of the Listed Entity

Larsen & Toubro Limited

3

Year of incorporation

07-02-1946

4

Registered office address

L&T House, Ballard Estate, Mumbai - 400001, Maharashtra

5

Corporate address

L&T House, Ballard Estate, Mumbai - 400001, Maharashtra

6

E-mail

infodesk@larsentoubro.com

7

Telephone

+91 22 67525656

8

Website

<https://www.larsentoubro.com/>

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Date of start of Financial Year

	Start Date	End Date
Financial Year	01-04-2024	31-03-2025
Previous Year	01-04-2023	31-03-2024
Prior To Previous Year	01-04-2022	31-03-2023

10

Name of the Stock Exchange(s) where shares are listed

1. BSE Limited

2. National Stock Exchange of India Limited

11

Paid-up Capital

₹ 275.04 crore

12

Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report

Name of contact person

Santosh Kumar Singh, Chief Sustainability Officer

Contact number of contact person

+91 22 61238564

Email of contact person

Santosh.Singh3@larsentoubro.com

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Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).

Standalone entity

14

Name of assurance provider

Deloitte Haskins & Sells LLP

15

Type of assurance obtained

Reasonable Assurance for Core KPIs [GHG footprint, water footprint, energy footprint, waste management, spend towards well-being measures and safety statistics of employees and workers, gross wages paid to females as % of wages paid, complaints on POSH, purchase from MSMEs and from within India, job creation in smaller towns, events related to data breach and cybersecurity, number of days of accounts payable, and concentration of purchases & sales done with trading houses and related parties, loans and advances & investments with related parties].

II. PRODUCTS/SERVICES

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of main activity	Description of business activity	% of turnover
1	Infrastructure Projects	Engineering and Construction of (a) Building and Factories, (b) Transportation Infrastructure, (c) Heavy Civil Infrastructure, (d) Power Transmission & Distribution, (e) Renewables, (f) Water & Effluent Treatment and (g) Minerals and Metals	73%
2	Energy Projects	EPC solutions in (a) Hydrocarbon Onshore and Offshore businesses covering oil & gas, refineries, petrochemicals & offshore wind energy sectors, from front-end design through detailed engineering, modular fabrication, procurement, project management, construction, installation and commissioning (b) CarbonLite Solutions business covering power generation plants including power generation equipment with associated systems and/or carbon capture utilisation & utility packages (c) Green and Clean Energy space	17%
3	Hi-Tech Manufacturing	Design, manufacture / construct, supply, revamp/retrofit of (a) Heavy Engineering business covering custom designed, engineered critical equipment and systems for the process plants, nuclear energy and green hydrogen sectors (b) Precision Engineering and Systems business covering marine and land platforms including related equipment and systems; aerospace products and systems; precision and electronic products and systems for the defence, security, space and industrial sectors	7%

17. Products/Services sold by the entity (accounting for 90% of the entity's turnover):

S. No	NIC Code			Product/Services	% of total turnover contributed
	Group	Class	Sub Class		
1	282	2824	28246	Manufacture of parts and accessories for machinery / equipment used by construction and mining industries	6%
2	410	4100	41001	Construction of buildings carried out on own-account basis or on a fee or contract basis	13%
3	421	4210	42101	Construction and maintenance of motorways, streets, roads, other vehicular and pedestrian ways, highways, bridges, tunnels, and subways	23%
			42102	Construction and maintenance of railways and rail-bridges	
4	422	4220	42201	Construction and maintenance of power plants	12%
			42202	Construction / erection and maintenance of power, telecommunication, and transmission lines	11%
			42204	Construction and maintenance of water main and line connection, water reservoirs including irrigation system (canal)	10%
			42205	Construction and repair of sewer systems including sewage disposal plants and pumping stations	
5	429	4290	42901	Construction and maintenance of industrial facilities such as refineries, chemical plants	15%

III. OPERATIONS

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	19	29	48
International	0	13	13

19. Markets served by the entity:

a. Number of locations

Location	Number
National (No. of States)	Pan-India
International (No. of Countries)	58

b. What is the contribution of exports as a percentage of the total turnover of the entity?

29%

c. A brief on types of customers

The Company's primary businesses are EPC projects related to infrastructure and energy and manufacturing of equipment and systems for process industries. Government (sovereign, sub-national, local) and related entities (government owned/controlled corporations, e.g., public sector enterprises) are the largest clients of the Company and contributing to ~80% of the revenue. Other clients are from private sector, comprising both Indian and foreign companies, in various sectors and industries.

IV. EMPLOYEES

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No	Particulars ¹	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
	EMPLOYEES					
1.	Permanent (D)	52,505	47,747	90.9%	4,758	9.1%
2.	Other than Permanent (E)	3,960	3,753	94.8%	207	5.2%
3.	Total employees (D + E)	56,465	51,500	91.2%	4,965	8.8%
	WORKERS					
4.	Permanent (F)	2,091	2,084	99.7%	7	0.3%
5.	Other than Permanent (G)	3,54,415	3,52,339	99.4%	2,076	0.6%
6.	Total workers (F + G)	3,56,506	3,54,423	99.4%	2,083	0.6%

¹ Other than permanent employees comprise Fixed Term Employees (FTEs). 'Permanent' workers include only those workers who are employed for full-time or part-time work with L&T for an indeterminate period. 'Other than Permanent' workers include workers on third-party roll and on contract.

b. Differently abled employees and workers:

S. No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	60	57	95%	3	5%
2.	Other than Permanent (E)	8	8	100%	0	0%
3.	Total differently abled employees (D + E)	68	65	95.6%	3	4.4%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	11	11	100%	0	0%
5.	Other than Permanent (G)	10	10	100%	0	0%
6.	Total differently abled workers (F + G)	21	21	100%	0	0%

21. Participation/Inclusion/Representation of women

Particulars	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	15	1	6.7%
Key Management Personnel	1	0	0%

Note: The Chairman & MD and CFO are included in the Board of Directors.

22. Turnover rate for permanent employees and workers

Particulars	FY 2024-25 [values in %]			FY 2023-24 [values in %]			FY 2022-23 [values in %]		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	7.8%	11.8%	8.1%	11.5%	14.0%	11.7%	11.8%	20.1%	12.5%
Permanent Workers	6.9%	28.6%	7.0%	9.5%	0	9.5%	1.8%	0	1.8%

V. HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES (INCLUDING JOINT VENTURES)

23. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the Company (A)	Subsidiary / Associate/ Joint Venture	% of shares held by the listed entity	Does the entity indicated at column (A), participate in business responsibility initiatives of the listed entity? (Yes/No)
1	Bhilai Power Supply Company Limited	Subsidiary	99.9%	No
2	L&T Aviation Services Private Limited	Subsidiary	100%	No
3	L&T Capital Company Limited	Subsidiary	100%	No
4	L&T Global Holdings Limited	Subsidiary	100%	No
5	Larsen & Toubro International FZE	Subsidiary	100%	No
6	L&T Community Welfare Association^	Subsidiary	100%	No
7	L&T Semiconductor Technologies Limited	Subsidiary	100%	No
8	L&T Metro Rail (Hyderabad) Limited	Subsidiary	99.99%	No
9	L&T Finance Limited	Subsidiary	66.24%	No*
10	L&T Financial Consultants Limited	Subsidiary	66.24%	No

S. No.	Name of the Company (A)	Subsidiary / Associate/ Joint Venture	% of shares held by the listed entity	Does the entity indicated at column (A), participate in business responsibility initiatives of the listed entity? (Yes/No)
11	L&T Infra Investment Partners Advisory Private Limited	Subsidiary	66.24%	No
12	L&T Infra Investment Partners Trustee Private Limited	Subsidiary	66.24%	No
13	L&T Energy Green Tech Limited (Formerly L&T Power Limited)	Subsidiary	100%	No
14	L&T Electrolysers Limited	Subsidiary	100%	No
15	L&T Special Steels & Heavy Forgings Private Limited	Subsidiary	100%	No
16	L&T Modular Fabrication Yard LLC	Subsidiary	70%	No
17	L&T Hydrocarbon Saudi Company LLC	Subsidiary	100%	No
18	Larsen & Toubro Electromech LLC	Subsidiary	70%	No
19	Larsen & Toubro Heavy Engineering LLC®	Subsidiary	70%	No
20	Larsen Toubro Arabia LLC	Subsidiary	75%	No
21	Larsen & Toubro Kuwait Construction General* Contracting Company WLL	Subsidiary	49%	No
22	Hi-Tech Rock Products & Aggregates Limited	Subsidiary	100%	No
23	Larsen & Toubro (East Asia) Sdn. Bhd ⁺	Subsidiary	30%	No
24	Larsen & Toubro Oman LLC	Subsidiary	65%	No
25	Larsen & Toubro Saudi Arabia LLC	Subsidiary	100%	No
26	Larsen & Toubro T&D SA (Pty) Limited	Subsidiary	72.5%	No
27	L&T Geostructure Private Limited	Subsidiary	100%	No
28	PT. Larsen & Toubro	Subsidiary	100%	No
29	Graphene Solutions Sdn.bhd	Subsidiary	73.66%	No
30	L&T Technology Services Pte. Ltd	Subsidiary	73.66%	No
31	Graphene Solutions Taiwan Ltd.	Subsidiary	73.66%	No
32	LTIMindtree Information Technology Services (Shanghai) Co.	Subsidiary	68.57%	No
33	LTIMindtree Spain SL	Subsidiary	68.57%	No
34	LTIMindtree Financial Services Technologies Inc	Subsidiary	68.57%	No
35	LTIMindtree, Sociedad De Responsabilidad Limitada De Capital Variable (Formerly L&T Infotech S. DE. RL. DE. CV.)	Subsidiary	68.57%	No
36	L&T Technology Services Limited	Subsidiary	73.66%	No*
37	L&T Technology Services LLC	Subsidiary	73.66%	No
38	L&T Technology Services (Shanghai) Co. Ltd.	Subsidiary	73.66%	No
39	L&T Technology Services (Canada) Limited	Subsidiary	73.66%	No
40	L&T Thales Technology Services Private Limited	Subsidiary	54.51%	No
41	L&T Technology Services Poland Sp. Z O.o. W Organizacji	Subsidiary	73.66%	No

S. No.	Name of the Company (A)	Subsidiary / Associate/ Joint Venture	% of shares held by the listed entity	Does the entity indicated at column (A), participate in business responsibility initiatives of the listed entity? (Yes/No)
42	LTIMindtree Canada Limited	Subsidiary	68.57%	No
43	LTIMindtree Gmbh	Subsidiary	68.57%	No
44	LTIMindtree Limited	Subsidiary	68.57%	No*
45	LTIMindtree Norge As	Subsidiary	68.57%	No
46	LTIMindtree South Africa (Pty) Limited	Subsidiary	47.71%	No
47	Nielsen+Partner Pte Ltd.	Subsidiary	68.57%	No
48	LTIMindtree Switzerland AG	Subsidiary	68.57%	No
49	LTIMindtree (Thailand) Limited	Subsidiary	68.57%	No
50	Syncordis Limited, UK	Subsidiary	68.57%	No
51	LTIMindtree S.A	Subsidiary	68.57%	No
52	LTIMindtree PSF S.A	Subsidiary	68.57%	No
53	LTIMindtree USA Inc	Subsidiary	68.57%	No
54	LTIMindtree UK Limited	Subsidiary	68.57%	No
55	LTIMindtree Middle East FZ-LLC	Subsidiary	68.57%	No
56	L&T Network Services Private Limited	Subsidiary	100%	No
57	L&T Construction Equipment Limited	Subsidiary	100%	No
58	L&T Valves Limited	Subsidiary	100%	No
59	L&T Valves USA LLC	Subsidiary	100%	No
60	L&T Valves Arabia Manufacturing LLC	Subsidiary	100%	No
61	L&T Himachal Hydropower Limited	Subsidiary	100%	No
62	L&T Power Development Limited	Subsidiary	100%	No
63	Nabha Power Limited	Subsidiary	100%	No
64	Larsen & Toubro Qatar LLC @+	Subsidiary	49%	No
65	Chennai Vision Developers Private Limited	Subsidiary	100%	No
66	L&T Realty Developers Limited	Subsidiary	100%	No
67	L&T Realty Properties Limtied (Formerly L&T Seawoods Limited)	Subsidiary	100%	No
68	Elante Properties Private Limited (Formerly L&T Parel Project Private Limited)	Subsidiary	100%	No
69	Prime Techpark (Chennai) Private Limited	Subsidiary	100%	No
70	Bangalore Galaxy Techpark Private Limited	Subsidiary	100%	No
71	Chennai Nova Techpark Private Limited	Subsidiary	100%	No
72	Business Park (Powai) Private Limited	Subsidiary	100%	No
73	Corporate Park (Powai) Private Limited	Subsidiary	100%	No
74	Millennium Techpark (Chennai) Private Limited	Subsidiary	100%	No
75	LH Residential Housing Private Limited	Subsidiary	100%	No

S. No.	Name of the Company (A)	Subsidiary / Associate/ Joint Venture	% of shares held by the listed entity	Does the entity indicated at column (A), participate in business responsibility initiatives of the listed entity? (Yes/No)
76	LH Uttarayan Premium Realty Private Limited	Subsidiary	100%	No
77	Larsen & Toubro CIS Foreign Enterprise LLC	Subsidiary	60%	No
78	LTIMindtree Consulting Brazil Ltda	Subsidiary	68.57%	No
79	Siliconch Systems Private Limited	Subsidiary	100%	No
80	Intelliswift Software (India) Private Limited	Subsidiary	73.66%	No
81	Intelliswift Software Inc.	Subsidiary	73.66%	No
82	Intelliswift Software (Hungary) KFT	Subsidiary	73.66%	No
83	Intelliswift Software (Costa Rica) Limitada	Subsidiary	73.66%	No
84	Intelliswift Software (Canada) Inc	Subsidiary	73.66%	No
85	Global Infotech Corporation	Subsidiary	73.66%	No
86	P. Murphy & Associates Inc	Subsidiary	73.66%	No
87	LTIM Aramco Digital Solutions for Information Technology Company	Subsidiary	34.97%	No
88	Raykal Aluminium Company Private Limited	Joint Venture	75.5%	No
89	L&T MBDA Missile Systems Limited	Joint Venture	51%	No
90	LTH Milcom Private Limited	Joint Venture	56.67%	No
91	GH4India Private Limited	Joint Venture	33.33%	No
92	L&T Sapura Shipping Private Limited	Joint Venture	60%	No
93	Hydrocarbon Arabia Limited Company	Joint Venture	60%	No
94	Indiran Engineering Projects and Systems Kish (LLC)	Joint Venture	50%	No
95	L&T Howden Private Limited	Joint Venture	50.1%	No
96	L&T-MHI Power Boilers Private Limited	Joint Venture	51%	No
97	L&T-MHI Power Turbine Generators Private Limited	Joint Venture	51%	No
98	L&T-Sargent & Lundy Limited	Joint Venture	50%	No
99	Gujarat Leather Industries Limited [@]	Associate	50%	No
100	Magtorq Private Limited	Associate	42.85%	No
101	L&T Camp Facilities LLC	Associate	49%	No
102	Larsen & Toubro Qatar & Hbk Contracting Co. WLL [@]	Associate	50%	No
103	E2E Networks Limited	Associate	15%	No
104	Grameen Capital India Private Limited [%]	Associate	17.22%	No

[@] in process of liquidation

* These subsidiaries have a separate BRSR

[^] Subsidiary as per Companies Act 2013

⁺ Subsidiary by virtue of control over composition of Board of Directors

[%] Associate of Subsidiary under Companies Act 2013

VI. CSR DETAILS

24. CSR Details

Whether CSR is applicable as per section 135 of Companies Act, 2013	Yes
Turnover (in ₹ crore)	1,42,509
Net worth (in ₹ crore)	71,896

VII. TRANSPARENCY AND DISCLOSURES COMPLIANCES

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/No); if Yes, then provide web-link for grievance redress policy	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	0	0		0	0	
Investors (other than shareholders)	Yes	0	0		0	0	
Shareholders	Yes	0	0		0	0	
Employees and Workers	Yes	886	3		510	5	
Customers ²	Yes	265	26		32	10	
Value Chain Partners (suppliers)	Yes	52	20		59	18	
Others	Yes	35	19	Whistleblower complaints	52	23	Whistleblower complaints

² Higher complaints on account of inclusion of data from new businesses e.g., SuFin scaling up

The Company has internal systems and procedures for grievance redressal of the above categories of stakeholders. Details of the mechanisms are elucidated below:

Investors and Shareholders: The Company has established a dedicated grievance redressal mechanism through the e-mail ID IGRC@Larsentoubro.com, allowing investors and shareholders to raise any concerns or grievances. In addition, the Company provides multiple channels for grievance submission, including:

- Physical letters sent to the registered office address
- E-mails to the Registrar and Transfer Agent (RTA) KFin Technologies Ltd. (KFinTech) at inward.ris@kfintech.com
- Telephone calls or physical visits to the RTA office in Hyderabad
- Grievance redressal platform of SEBI (SCORES)
- Smart ODR portals of BSE and NSE
- Letters received from the Registrar of Companies (ROC)

Grievances received through the IGRC e-mail ID are responded to promptly where details are readily available with the Company. Grievances reported to the RTA are forwarded to the Company, and scanned copies of these communications are accessible via the Karisma system (KFinTech Portal). The Company regularly monitors the Inward Report available on the Karisma Portal to ensure that the Service Level Agreement (SLA) timelines are adhered to for timely resolution of queries and complaints. The SLA for resolution of grievances is set at 30 days.

On a quarterly basis, the Company submits a report to the Stock Exchanges detailing complaints received and resolved. These reports are also reviewed by the Stakeholders Relationship Committee and presented to the Board for their information and oversight.

Supply chain partners: The Company uses dedicated vendor management platform, the Partner Portal, to register and address grievances related to contractual matters such as administrative and statutory compliances, payment, invoicing, contractual clauses, material and services scheduling and delivery, quality non-conformances. The typical resolution time for these contractual grievances is 30-45 working days, with more complex disputes possibly requiring more than 45 days for resolution.

For grievances beyond contractual issues, such as concerns about unethical behaviour, improper practices, misconduct, violations of legal or regulatory requirements, or fraud, the Company has formulated a Whistleblower Policy for Vendors and Channel Partners. This policy outlines the process for addressing such grievances and is available to all registered vendors across the Company. The policy can be accessed online at <https://www.larsentoubro.com/corporate/about-lt-group/corporate-policies/>

The grievance redressal mechanisms for employees and workers, community and customers are explained in Principle 3, Principle 8 and Principle 9 respectively.

26. Overview of the entity's material responsible business conduct issues. Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk alongwith its financial implications, as per the following format

The Company conducts a materiality assessment to identify and prioritise key topics related to ESG factors. The material topics identified through this process are categorised based on their potential to either create opportunities or pose risks. For certain topics, the primary focus is on risk mitigation and taking proactive actions to minimise or prevent these risks from materialising. *Details regarding the material topics, their classification (as risks or opportunities), the approach to mitigate risks, and any financial implications are comprehensively outlined in the 'Understanding Materiality' section of the Integrated Annual Report FY 2024-25.*

SECTION B: MANAGEMENT AND PROCESS DISCLOSURE

Disclosure Questions		Principles								
Policy and management processes		P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1.	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes, each principle and its core elements are covered by one or more policies of the Company.								
	b. Has the policy been approved by the Board? (Yes/No)	Yes, the policies are approved by the Board or the Board Committee or Executive Committee of the Company.								
	c. Web Link of the Policies, if available	The policies are available at https://www.larsentoubro.com/corporate/about-lt-group/corporate-policies/								
2.	Whether the entity has translated the policy into procedures. (Yes / No)	Most of the policies are implemented through procedures which are either incorporated in the policies or available as separate documents/SOPs/processes.								
3.	Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes, the Code of Conduct for Suppliers encompasses key aspects of the Company's policies that are applicable to the value chain partners. It sets clear expectations regarding ethical business practices, labour rights, health and safety standards, and environmental stewardship. Additionally, other relevant policies such as the Whistleblower Policy for Vendors and Channel Partners are also extended to supply chain partners, ensuring that they have access to appropriate mechanisms for raising concerns and promoting transparency and accountability across the value chain.								
4.	Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea), standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	P1: SEBI (Listing obligation and Disclosure Requirements) Regulations, 2015 P2: SA 8000 (key manufacturing facilities), ISO 14001, ISO 45001 P3: Factories Act, 1948, Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996, SA 8000 (key manufacturing facilities), ISO 45001 P5: Factories Act, 1948, Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996, SA 8000 (key manufacturing facilities), Contract Labour (Regulation and Abolition) Act, 1970 P6: ISO 14001, ISO 50001 P8: CSR disclosures pursuant to Section 135 of the Companies Act, 2013 P9: ISO 27001: 2013								

Disclosure Questions		Principles							
Policy and management processes	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.		(a)	(e) (f)		(f)	(a)(b) (c)		(d)	
6. Performance of the entity against the specific commitments, goals, and targets along-with reasons in case the same are not met.		(a)	(e) (f)		(f)	(a)(b)(c)		(d)	

#	Parameter/Metric	Target FY 2025 -26	Achieved FY 2024-25
(a)	Green Business (% of revenue)	55%	53%
(b)	Emissions Intensity Reduction	30% [wrt baseline year FY 2020-21]	28%
(c)	Saplings Plantation	1.5 - 2 million per year	~1.7 million
(d)	CSR Project Beneficiaries	2 million	1.9 million
(e)	Gender diversity	10%	9.1%
(f)	Mission Zero Harm		LTIFR : 0.04 (Employees) 0.12 (Workers)

The targets of FY 2025-26 had been formulated as a part of Lakshya-26 strategy plan during FY 2021-22. Based on the progress, few targets have been revised and presented in the above table.

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements.

At L&T, our commitment to society and environment is considered a key enabler for sustainable business success. The rapid progression of climate change, evolving regulations, and rising stakeholder expectations have positioned ESG factors at the core of our business strategy. We view ESG as a strategic imperative, enhancing risk management, optimizing capital allocation, unlocking new growth opportunities, and building stakeholder trust. By integrating ESG into our governance, planning, and operations, we ensure that our resources are allocated to initiatives that promote sustainable and inclusive outcomes.

L&T has set ambitious targets- achieving Carbon Neutrality by 2040 and Water Neutrality by 2035, demonstrating our long-term commitment to environmental stewardship. To meet these goals, our business units have implemented targeted initiatives aimed at reducing energy intensity, minimizing GHG emissions, and increasing the share of renewable energy in our overall consumption. Key efforts include reducing reliance on fossil fuels and expanding the use of renewable electricity. These strategies face inherent challenges due to the nature of our EPC projects spread across large, open geographic areas at temporary sites (2-4 years) and, particularly in linear infrastructure projects. Despite these complexities, we achieved a 20% reduction in overall GHG emission intensity in FY 2024-25 compared to the previous year, driven largely by a 16% reduction in energy intensity over the same period. We also made significant strides in renewable energy adoption, with renewable electricity accounting for 15% of our total electricity consumption in FY 2024-25. While achieving full decarbonisation of electricity remains a long-term challenge, we are committed to steady progress through innovation, investment, and operational excellence.

In support of our commitment to achieving Water Neutrality by 2035, L&T continues to implement targeted measures to reduce freshwater consumption and promote sustainable water management across its operations. Our approach focuses on three core areas: enhancing water use efficiency, increasing wastewater recycling, and expanding rainwater harvesting infrastructure. In FY 2024-25, 2.6 million kl of wastewater were recycled, and 1 lakh kl of rainwater were harvested across various project sites and campuses. The overall water sourcing and consumption numbers as reported have increased over the previous year, mainly due to our increased coverage of measurement and accounting across the sites and geographies. These initiatives are critical to minimizing our freshwater footprint, especially in water-scarce regions, and form a key pillar of our broader environmental sustainability agenda.

During FY 2024-25, we conducted a study to evaluate the rainwater harvesting infrastructure established through our CSR activities in rural areas. The study revealed that we have created infrastructure with a rainwater harvesting potential of 4.5 million kl annually. Over the past three years, this infrastructure has provided an estimated 3.2 million kl of additional water availability for the community each year. While the CSR initiatives have been taken up to address the needs of the rural communities, the water resources thus created, also contribute to our journey towards Water Neutrality by 2035.

The Company is committed to incorporating Circular Economy principles, aiming to reduce dependence on natural resources. In FY 2024–25, approximately 28% of the bulk materials used in our operations have lower embedded carbon and are non-virgin materials. This shift towards more sustainable materials is expected to reduce environmental impact, enhance resource efficiency, and foster innovation across our business units.

As part of the commitment to advancing sustainability beyond our boundaries, L&T has initiated a structured programme for the assessment and capacity building of supply chain partners. In FY 2024–25, the Company, in collaboration with an external expert agency, rolled out this assessment targeting 120 critical supply chain partners. The initiative focuses on evaluating partners' performance on ESG parameters, identifying areas for improvement, and supporting them through targeted capacity-building interventions. This programme marks a significant step towards fostering a resilient, responsible, and future-ready supply chain ecosystem.

At L&T, the path to a sustainable future is forged through innovation, leadership, and strategic partnerships. Our Green Business offerings exemplify this commitment—enabling clients to reduce emissions, enhance water recycling, optimise resource consumption, and achieve sustainable transition. In FY 2024–25, the Green Business portfolio continued its robust growth, contributing 53% of the Company's total revenue. This strong performance places us well ahead of the original target of achieving 40% revenue from Green Business by FY 2025–26. In light of this positive trend and sustained revenue momentum, the Company has set an enhanced and ambitious target of 55% revenue from Green Business by FY 2025-26, reaffirming the commitment to driving sustainable growth and supporting the transition to a low-carbon economy.

L&T is deeply committed to providing equal opportunity, promoting diversity and inclusion, and fostering a safe, supportive, and empowering workplace. As of FY 2024–25, the Company's gender diversity stands at 9.1%, with a target to reach 10% by FY 2025–26. Demonstrating leadership in workplace equity, L&T became the first Indian Company in the construction and engineering sector to introduce one-day paid menstrual leave every month for women employees. Announced on International Women's Day, this initiative positively impacts around 5,000 women across the Company.

Safety remains of paramount importance. A comprehensive set of initiatives continues to be deployed across project sites and manufacturing locations to safeguard the health and well-being of employees and contract workmen. In FY 2024–25, approximately 26,000 employees and over 3,54,000 contract workmen underwent structured health and safety training, reinforcing the Company's commitment to maintaining a strong and proactive safety culture. To ensure that workmen are aware of their rights, the '**Humara Jeevan, Humara L&T**' campaign—launched late last year—has already reached over 10,000 workmen across our project sites. This initiative is designed to educate and empower them by providing accessible information on various topics, including government schemes, provident fund (PF) benefits, health initiatives, and more. In the coming months, the campaign will be rolled out to additional locations, further extending its reach and impact by bringing critical awareness and support to the workforce that drives our projects.

In line with its focus on continuous improvement and performance-driven accountability, the Company introduced a Reward and Penalty System for its EPC projects business segment. Under this mechanism, business units that exceed defined safety targets receive a fixed monetary reward and units that fall short of the targets incur a fixed monetary penalty. Importantly, the outcome of this system directly influences the annual performance-linked rewards or bonuses of all employees within the respective business units. This integrated approach aligns with the Company's sustainability and operational excellence goals.

Corporate Social Responsibility (CSR) has been deeply ingrained in L&T's values long before it became a statutory mandate. Guided by its overarching mission to strengthen India's social infrastructure, the Company's CSR efforts focus on strategic pillars including water and sanitation, education, healthcare, and skill development. In FY 2024–25, L&T's CSR initiatives positively impacted approximately 1.9 million lives, surpassing the FY 2025–26 target of reaching 1.7 million beneficiaries. This achievement reflects our focused and scalable interventions across key thematic areas. Building on this momentum and our expanded reach, we have set a new target of reaching 2 million beneficiaries through our CSR projects, reinforcing our commitment to inclusive growth and community empowerment.

The key flagship initiative, **Unnati – the Integrated Community Development Programme (ICDP)**, has been instrumental in transforming rural, water-stressed regions of Maharashtra, Tamil Nadu, and Rajasthan. Over the past decade, the programme has covered approximately 44,856 hectares, resulting in an average increase of 9.3 meters in the groundwater table and directly benefiting more than 30,000 households through enhanced water security and agricultural resilience. In the education domain, Project Jyoti addresses critical STEM learning gaps among students in standards 6 to 8 across government schools in Gujarat, Tamil Nadu, and Maharashtra. By equipping schools with digital infrastructure and introducing activity-based learning, hands-on models, and Edu-Reels (curriculum-aligned short videos), the initiative reached 314 schools and 52,924 students in FY 2024–25.

Over the past year, we have enhanced our systems and processes to improve the quality, consistency, and transparency of our non-financial data and information. We remain committed to deepening ESG integration, driving impact through innovation, and aligning with global standards and frameworks, from advancing employee well-being and promoting circular economy practices to accelerating the clean energy transition and integrating sustainability into our supply chain.

We believe that ‘**Tech-Celerating Sustainable Progress**’ is not just an ambition—it is a shared responsibility that requires deliberate and purposeful action across the pillars of Environment, Social, and Governance. We are committed to taking a holistic and balanced approach, ensuring that every action we undertake generates enduring value for all our stakeholders: customers, suppliers, business partners, shareholders, employees, communities, society at large, and the planet. By embedding sustainability at the core of our operations, we are working to build a future that is resilient, inclusive and enduring.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).

The Chairman & MD and the Board are the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.

Yes, the Company's CSR & Sustainability Committee of the Board is responsible for decision making on sustainability related issues. *For details of the composition, role, and terms of reference, please refer to Annexure 'B' to the Board Report in the Integrated Annual Report FY 2024-25.*

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board / any other Committee					Frequency (Annually / Half yearly / Quarterly / any other - please specify)			
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow-up action	Yes, the performance against policies is reviewed by the Board or the Board Committees or the Executive Committee (as applicable) on periodic basis.								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	The Company complies with the relevant regulations as applicable against each principle.								

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

The Company holds over 400 global certifications across its businesses, granted by esteemed third-party audit agencies such as DNV India, TUV-Nord and LRQA. These audits are conducted across various standards, including ISO/IEC 27001 – Information Security Management System (ISMS), ISO 14001 – Environment Management System (EMS), ISO 45001 – Occupational Health and Safety Management System (OHSMS), ISO 9001 – Quality Management System (QMS), SA 8000 – Social Accountability Standard, ISO 29001 – Quality Management System for the Oil & Gas Industry, ISO 50001 – Energy Management System (EnMS), EN 1090 – European Standard for steel and aluminium structures,

EN 3834 – Welding, ASME (American Society of Mechanical Engineers) standards, ISO 20000 – IT Service Management, ISO 30400 Series – HR Management, ISO 56000 Series – Innovation Management, ISO 10006 – Quality Management in Projects, ISO 21500 Series – Programme and Portfolio Management, ISO 31000 Series – Risk Management, ISO 19600 – Compliance Management, ISO 37000 Series – Governance, ISO 37001 – Anti-Bribery Management.

During these certification audits, independent third-party agencies verify key components such as policies, processes, procedures, records, and the monitoring and review processes implemented by the Company to ensure compliance with these standards.

During the year, the Company assigned an independent third party to review of the existing Ethics Framework and provide recommendations. The key policies and procedures included in the review are as follows:

- Code of Conduct for Board members and senior management
- Code of Conduct for employees
- Code of Conduct for suppliers
- Whistleblower Policy for employees
- Whistleblower Policy for vendors and channel partners
- Anti-Bribery and Anti-Corruption Policy and compliance procedures

Please refer to ‘Sustainability Governance and Management’ of the Integrated Annual Report FY2024-25 for further details on third party ethics audit by an independent third party.

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)									
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)						Not applicable			
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Principle 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

ESSENTIAL INDICATORS

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / Principles covered under the training and its impact	% of persons covered by the awareness programmes
Board of Directors	4	Business, strategy, risk, Induction, ESG, induction and update of laws	98%
Key Managerial Personnel	6	Business, strategy, risk, regulatory discussions, ESG, induction and update of laws	100%

Segment	Total number of training and awareness programmes held	Topics / Principles covered under the training and its impact	% of persons covered by the awareness programmes
Employees other than BoD and KMPs	9,955	The Company conducts numerous online and offline training led by internal or external faculty/expert throughout the year for all employees of the Company. Key topics of these trainings are code of conduct, safety, human rights, prevention of sexual harassment, diversity and inclusion, sustainability and cybersecurity. Employees are also provided need-based training aligned to their jobs and roles, covering aspects such as behavioural competency, leadership development, project management, digital technologies, data analytics.	100%
Workers	97,461	Programmes covering topics include but not limited to, health and safety, human rights, disaster management, environment management, safety aspects specific to works/job, sexual harassment material handling.	100%

2. **Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):**

Monetary				
NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the case	Has an appeal been preferred? (Yes/No)
Penalty/Fine settlement Compounding fee	No cases reported during the year			
Non-Monetary				
NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions		Brief of the case	Has an appeal been preferred? (Yes/No)
Imprisonment Punishment	No cases reported during the year			

3. **Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.**

No cases have been reported during FY 2024-25.

4. **Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.**

Yes, the Company has an Anti-Bribery and Anti-Corruption (ABAC) Policy, available at [L&T Corporate Policies](#). This policy provides a comprehensive framework covering standards of behaviour, internal controls, monitoring, reporting, training and awareness. The ABAC Policy applies to all employees working at all levels and grades of L&T, including Board

Members, and Senior Managerial Personnel (Senior Officers). It also extends, through the Code of Conduct for Suppliers, to all individuals and entities acting on behalf of the Company within its value chain. In addition, the Company has implemented several supporting policies and procedures, including:

- Code of Conduct for Board of Directors and Senior Management
- Code of Conduct for Supervisory, Executive, and Officers
- Code of Conduct for Suppliers
- Whistle Blower Policy
- Whistle-Blower Policy for Vendors and Channel Partners

The Company enforces a strict 'Zero Tolerance' stance on all forms of bribery and corruption—both active and passive—and has established robust measures to prevent and address such practices.

For more information on ABAC disclosures, please refer to 'Sustainability Governance and Management' chapter of the Integrated Annual Report FY 2024-25.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/corruption:

	FY 2024-25	FY 2023-24
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of conflict of interest of the Directors	0	—	0	—
Number of complaints received in relation to issues of conflict of interest of the KMPs	0	—	0	—

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

No cases or complaints received in the above matters.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2024-25	FY 2023-24
Number of days of accounts payables	123	141

Previous year's figure has been restated to reflect the merger of a subsidiary with L&T Standalone.

9. **Open-ness of business Provide details of concentration of purchases and sales with trading houses, dealers and related parties alongwith loans and advances & investments, with related parties, in the following format:**

Parameter	Metrics		FY 2024-25	FY 2023-24
Concentration of Purchases	a.	Purchases from trading houses as % of total purchases	0.28%	Not estimated
	b.	Number of trading houses where purchases are made from	25	
	c.	Purchases from top 10 trading houses as % of total purchases from trading houses	89.5%	
Concentration of Sales	a.	Sales to dealers/distributors as % of total sales	Not applicable due to the nature of business	
	b.	Number of dealers/distributors to whom sales are made		
	c.	Sales to top 10 dealers/distributors as % of total sales to dealers / distributors		
Share of RPTs in	a.	Purchases (Purchases with related parties/Total Purchases)	4.34%	3.00%
	b.	Sales (Sales to related parties/Total Sales)	1.27%	1.21%
	c.	Loans & advances (Loans & advances given to related parties/Total loans & advances)	20.96%	16.62%
	d.	Investments (Investments in related parties/Total Investments made)	58.71%	67.52%

The Company has defined 'Trading House' based on the Circular No.: SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024 and definition provided by 'Industry Standards Note on Business Responsibility and Sustainability Report (BRSR) Core'. Previous year's figures of share of RPTs have been restated to align with the current year's groupings and to reflect the merger of a subsidiary with L&T Standalone.

LEADERSHIP INDICATORS

1. **Awareness programmes conducted for value chain partners on any of the Principles during the FY:**

Sr.no	Total number of awareness programmes held	Topics / principles covered under the training	% age of value chain partners covered (by value of business done with such partners) under the awareness programmes
1	4	Basics of sustainability, regulatory landscape including global and Indian including National Guidelines on Responsible Business Conduct (NGRBC) Principles and SEBI's BRSR Core, L&T's policies and code of conduct, health and safety, human rights and environment parameters, ESG assessment being conducted by the Company and other good practices on ESG	255 companies attended these sessions, including supply chain partners from other geographies.
2	8	In-depth training sessions carried out by a third party on governance, ethical business practices, human rights and labour management, health and safety and environment	120 critical supply chain partners contributing to 23% of value by purchase

The supply chain partners selected to participate in these awareness sessions were identified based on their criticality to the Company's business and operations. The selection criteria included the quality and impact of their services on core functions, the availability of suitable alternate vendors, and the potential risks to business continuity in the event of disruption, monopolistic vendors and those supplying critical products, key materials, technologies, or essential services.

The Company undertakes several initiatives to build awareness among its supply chain partners, contractors, and subcontractors on key aspects aligned with the nine Principles of the National Guidelines for Responsible Business Conduct (NGRBC). These awareness programmes are broadly categorised into two focus areas: Safety and Sustainability.

- a) **Safety:** The Company conducts regular training and sensitisation sessions for contractual workers at project sites and manufacturing locations. These sessions cover a wide range of topics including safety induction, toolbox talks, proper use of personal protective equipment (PPE), occupational health, emergency preparedness, and job-specific safety practices such as working at heights, excavation safety, tunnel safety, and hot work protocols. To ensure a culture of safety, every individual-including employees, vendor personnel, clients, and visitors-is required to undergo a mandatory safety induction before commencing any activity at EPC project sites or manufacturing units.

- b) **Sustainability and Responsible Business Practices:** In FY2024-25, the Company adopted a more focussed approach to scale up its sustainability awareness and training programmes for supply chain partners. Four virtual sessions were conducted targeting critical supply chain partners, with 255 companies in attendance. These sessions featured a structured two-hour training module covering key aspects of sustainability and responsible business practices. Additionally, as part of the ESG assessment conducted for 120 critical supply chain partners by a third party, many handholding sessions were organised to guide them through the process.

For further details, please refer to 'Social and Relationship Capital' of the Integrated Annual Report FY2024-25.

2. **Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No). If Yes, provide details of the same.**

The Company has established formal processes to manage conflicts of interest involving members of the Board, including those that may arise from Directors accepting positions on the Boards of other companies or during routine business activities. These processes require Directors to recuse themselves from discussions and decision-making where a conflict of interest is identified. The Board members are expected to discharge their duties in a bona fide manner, prioritising the best interests of the Company. They must avoid any extraneous considerations that could impair their objective and independent judgment and not exploit their position for personal gain-whether direct or indirect-at the expense of the Company. Any conflict of interest involving a Board Member needs to be reported to the Chairman of the Audit Committee or the Chairman of the Board, ensuring transparency and accountability in governance practices.

Principle 2: Businesses should provide goods and services in a manner that is sustainable and safe

ESSENTIAL INDICATORS

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2024-25	FY 2023-24	Details of improvements in environmental and social impacts
R&D	5.4% [₹ 9.5 Cr]	5.7% [₹ 9.6 Cr]	A few initiatives, but not limited to, are stated below: - Replacing old equipment with higher energy efficiency or productivity equipment - Installation of rooftop solar PV modules and solar powered equipment e.g., light masts - Installation of sewage treatment plant, effluent treatment plant for wastewater treatment and recycling - Installation of water flowmeters and smart meters for monitoring - Purchase of bio-digester for recycling canteen waste - Spend on facilities for skill training institutes
Capex	2.8% [₹ 42.6 Cr]	3.3% [₹ 76.5 Cr]	

2. a. **Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

At L&T, sustainable sourcing is an integral part of the broader commitment to responsible business and environmental stewardship. Recognising the impact of the supply chain on people and the planet, sustainability criteria have been embedded across procurement and supplier engagement. The Company's Sustainable Supply Chain Policy and Code of Conduct of Suppliers guides all supply chain partners to engage in ethical, responsible, and legal business practices in their operations and adhere to ESG standards. The Company expects and urges its suppliers to establish suitable processes and management systems within their organisations that support compliance and drive continuous improvement with regard to the requirements included in Sustainable Supply Chain Policy and Code of Conduct for suppliers.

Key Principles:

- **Environmental Responsibility:** Through efficient use of resources, conservation of energy and water, procurement and use of recycled material and adopting a precautionary approach
- **Ethical Supply Chains:** Suppliers adhere to ethical business practices and anti-corruption standards.
- **Human Rights and Labour Management:** With a focus on health and safety standards adhering to the requirements of ISO 45001, payment of wages in a timely manner and zero tolerance towards child labour, forced labour and bonded labour.

Highlights of the Sustainable Sourcing Practices:

- **Sustainable supply chain Policy** which governs the sustainable supply chain management practices and state the expectations with respect to environment protection, health and safety norms, labour standards, human rights, ethical business practices and good governance.
- **Supplier Code of Conduct** rolled out to all the active vendors, covering ethics, human rights, and environmental compliance.
- **Supplier Sustainability Assessments** being conducted annually for select critical suppliers.
- **Digital Procurement Platforms** enable transparency, traceability and paperless transactions.
- **Training and awareness** with more than 650 supply chain partners participating in the sessions conducted in the past two years.
- **Handholding of critical supply chain partners** to improve their ESG performance.
- **Use of low carbon material and recycled material**, such as use of steel manufactured from electric arc furnace/induction furnace route as against steel manufactured through blast furnace route, blended cement in place of ordinary portland cement, wherever feasible, considering tender specifications and safety/technical aspect.

b. **If yes, what percentage of inputs were sourced sustainably?**

Accounts for 22% of L&T procurement spend by value. This is based on the sourcing from 'Green' rated vendors as a result of ESG assessment of 120 critical supply chain partners conducted by the Company through a third-party independent agency during FY 2024-25.

Please refer to Social and Relationship capital section of Integrated Annual Report FY 2024-25 for details on embedding sustainability in the supply chain.

3. **Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for**

- (a) **Plastics (including packaging):** NA
- (b) **E-waste:** NA
- (c) **Hazardous waste:** NA
- (d) **other waste:** NA

The Company's product portfolio caters to the requirements of various process plants and other industries, contributing less than 10% of total revenue. These products are complex and large equipment with a long lifetime, typically 15-20 years. The Company does not manufacture or sell any products that can be reclaimed at the end of their life cycle. However, for internal operations, the Company has implemented processes for waste management, including segregation, recycling, reuse, and disposal, as applicable for each category of waste, in compliance with relevant regulations.

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

EPR Rules, mandated by the Ministry of Environment, Forest, and Climate Change (MoEFCC), have been amended to extend the coverage of the Rules to importers also. The Company imports certain materials and there is a possibility of waste generation, e.g. plastic waste from packaging of imported materials, e-waste from imported electronic or electrical items and battery waste from imported batteries or equipment containing batteries to fulfil the contractual requirements with the clients. The Company has obtained registration as an importer under the EPR Rules for all three waste categories and implemented systems and processes to comply with the EPR Rules. Returns under the EPR Rules are filed with the Central Pollution Control Board annually.

LEADERSHIP INDICATORS

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?**

Product portfolio constitutes less than 10% of the Company's revenue. In the past, LCA has been carried out by Heavy Engineering business of the Company.

2. **If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.**

Name of Product / Service	Description of the risk / concern	Action Taken
Not applicable		

3. **Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).**

Indicate input material	Recycled or re-used input material to total material	
	FY 2024-25	FY 2023-24
Fly ash and Ground Granulated Blast-furnace Slag (GGBS) in place of Cement	8.8%	8.7%

The data reported above is based on the procurement value as a percentage of total bulk material procured (fly ash, GGBS and cement). Based on quantity (weight), the percentage of fly ash and GGBS used in place of cement is 13%. IS or other relevant codes prescribe limits of using fly ash and GGBS based on concrete use and requirements of the structure. While the Company tries to maximise use of recycled (waste) materials, the design mix of concrete and approval for use of the same in the project is controlled by the clients.

4. **Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:**

Particulars	FY 2024-25			FY 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	'Not applicable' for the Company; reason stated in Question 3 of Essential Indicators under Principle 2.					
E-waste						
Hazardous waste						
Other waste						

5. **Reclaimed products and their packaging materials (as percentage of products sold) for each product category.**
'Not applicable' for the Company; reason stated in Question 3 of Essential Indicators under Principle 2.

Principle 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

ESSENTIAL INDICATORS

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits ³		Day Care Facilities ⁴	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E /A)	Number (F)	% (F /A)
Permanent Employees											
Male	47,747	47,747	100%	47,747	100%	Not applicable		0	0	12,762	26.7%
Female	4,758	4,758	100%	4,758	100%	4,758	100%	Not applicable		4,758	100%
Total	52,505	52,505	100%	52,505	100%	4,758	100%	0	0	17,520	33.4%
Other than Permanent Employees											
Male	3,753	3,753	100%	3,753	100%	Not applicable		0	0	1,693	45%
Female	207	207	100%	207	100%	207	100%	Not applicable		207	100%
Total	3,960	3,960	100%	3,960	100%	207	100%	0	0	1,900	48%

³ The Company does not have a paternity leave policy.

⁴ Data is based on the coverage of creche/day care facility available to the employees in a particular location and not as per usage/availing of creche facility. In case creche facility is not available, creche allowance is provided to female employees (permanent and non permanent) and permanent female workers.

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Workers											
Male	2,084	2,084	100%	2,084	100%	Not applicable		0	0	1,495	72%
Female	7	7	100%	7	100%	7	100%	Not applicable		7	100%
Total	2,091	2,091	100%	2,091	100%	7	100%	0	0	1,502	72%
Other than Permanent Workers											
Male	3,52,339	2,66,930	76%	3,52,339	100%	Not applicable		0	0	9,121	3%
Female	2,076	1,030	50%	2,076	100%	2,076	100%	Not applicable		364	18%
Total	3,54,415	2,67,960	76%	3,54,415	100%	2,076	100%	0	0	9,485	3%

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format.

The Company is dedicated to ensuring the comprehensive well-being of its employees and workers through a blend of statutory and voluntary welfare measures. These initiatives focus on enhancing physical health, mental and emotional well-being, financial security, work-life balance, and opportunities for professional development. Expenditures related to protective gear and safety equipment are not itemised separately, as these are part of any activity or operations that are carried out. They are encompassed within broader contract or business expenditure categories.

Pursuant to SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, and the clarifications issued through the Industry Standards Note on BRSR Core, the methodology for disclosing expenditure on employee well-being has been recalibrated for FY 2024–25.

The table below presents the total cost incurred on employee well-being measures for the past two financial years. These include measures such as medical and health insurance, medical benefits, staff welfare, workmen compensation, canteen & food expenses, and safety related spend. Notably, salary disbursed during maternity leave availed in FY 2024–25 has also been included in the well-being spend for the current reporting period. It is important to note that the well-being expenditure reported for FY 2023–24 included additional cost heads beyond the aforementioned measures, leading to a difference in year-on-year comparability.

Particulars	FY 2024-25	FY 2023-24
Cost incurred on well-being measures as a % of total revenue of the Company	0.49% [~ ₹ 700 Cr]	0.73% [~ ₹ 927.3 Cr]

2. Details of retirement benefits, for Current FY and Previous Financial Year

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Yes	100%	100%	Yes
Gratuity	100%	100%	Yes	100%	100%	Yes
ESI	100%	100%	Yes	100%	100%	Yes

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

The Company is dedicated to promoting an inclusive and accessible work environment in accordance with the Rights of Persons with Disabilities Act, 2016. Most of the premises are equipped to accommodate differently abled employees and workers, featuring facilities such as ramps, elevators with accessibility features.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

The Company is committed to providing equal opportunities in employment and fostering an inclusive work environment, in line with the Rights of Persons with Disabilities Act, 2016. The Company's Equal Opportunity Policy, available at <https://www.larsentoubro.com/corporate/about-lt-group/corporate-policies/>, outlines the guiding principles for ensuring equal and equitable opportunities for all employees and workers, while upholding the highest standards of ethics, values and governance across people practices.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers ⁵	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male		Not applicable		
Female	91%	77%	0	0
Total	91%	77%	0	0

⁵ Permanent female workers are also extended maternity leave and related benefits, though none of them availed during the FY.

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

Particulars	Yes/No	If Yes, then give details of the mechanism in brief
Permanent Workers	Yes	Registration and redressal are done through worker union or Joint Management Council or Complaints and Grievance Committee.

Particulars	Yes/No	If Yes, then give details of the mechanism in brief
Other than Permanent Workers	Yes	With a workforce of over 3,54,000 contractual workers, they are recognised as critical yet vulnerable stakeholders for the business. Workers may raise grievances individually or collectively through a representative, covering matters related to working conditions, living conditions at labour colonies, wage-related issues, or any other employment-related concerns. For manufacturing facilities, there are contract labour management cells or industrial relations functions who look after the overall well-being of workers. Industrial Relations (IR) department periodically meet contractors and contract workers to understand and mitigate their grievances. Records are maintained and periodically reviewed by the senior management. Two of the key manufacturing facilities are also certified with SA8000 and adhere to the provisions of the standard. There are workers representative committees as well to ensure fair representation, who hold meetings in collaboration with the management representative and focus on grievances and needs of the workers. For EPC project sites, any project location or establishment with 20 or more workers has a Grievance Redressal Officer (GRO), nominated by the Project Manager from among personnel in key functions (Project Accounts, Administration, or Safety) and is duly communicated to the relevant stakeholders (Admin/Industrial Relations/Accounts heads). The mechanism includes the following steps: registration of grievance, investigation, resolution within a specified timeline, escalation (if necessary), feedback collection, closure, record-keeping, reporting, and periodic reviews and audits. Over 500 GROs have been appointed across project sites to facilitate grievance registration, timely resolution, management of escalations, case closure, and reporting. In addition to traditional oral and written channels, a toll-free number, operational 24x7, is available for workers to register grievances. This initiative ensures a fair, transparent, and accessible grievance resolution process, promoting equal and fair treatment for all workers.
Permanent Employees	Yes	The Company has a digital platform, HEERA, as the primary channel for addressing employee grievances. Employees may raise grievances related to work environment, working relationships, workplace conditions, salary and compensation matters, claims settlement, reimbursement and recovery of dues, leave management, medical insurance and policy issues, inconsistencies in policy implementation, violations of the Code of Conduct, or any other matter impacting employment. Employees are encouraged to initially seek grievance resolution through discussions with their Immediate Supervisors. In the absence of an Immediate Supervisor, grievances may be escalated to the next level supervisor. If satisfactory resolution is not achieved, employees may register their grievance through HEERA to raise a grievance ticket for formal resolution. Designated HR Officers are responsible for resolving the grievances. Based on the severity and complexity of the grievance, resolution timelines and escalation procedures are defined to ensure timely and effective redressal.
Other than Permanent Employees	Yes	Grievances are submitted to respective HR coordinators who are responsible for resolution.

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Permanent Employees	52,505	0	0%	52,224	0	0%
- Male	47,747	0	0%	48,019	0	0%
- Female	4,758	0	0%	4,205	0	0%
Permanent Workers	2,091	2091	100%	2,079	2,079	100%
- Male	2,084	2,084	100%	2,073	2,073	100%
- Female	7	7	100%	6	6	100%

8. Details of training given to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation*		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	51,500	23,735	46%	56,650	100%	52,812	21,692	41 %	52,462	99%
Female	4,965	2,481	50%	5,462	100%	4,453	2,197	49%	5,837	100%
Total	56,465	26,216	46%	62,112	100%	57,265	23,889	42%	58,299	100%
Workers										
Male	3,54,423	4,69,407*	100%	1,11,066	31%	3,47,360	3,91,715	100%	90,802	26%
Female	2,083	1,244	60%	233	11%	2,813	1,284	46%	135	5%
Total	3,56,506	4,70,651*	100%	1,11,299	31%	3,50,173	3,92,999	100%	90,937	26%

*As on March 31, 2025, the number of trainings conducted are higher than the number of employees and workers due to the attrition and new joinees.

9. Details of performance and career development reviews of employees and worker:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	47,747	47,747	100%	48,019	48,019	100%
Female	4,758	4,758	100%	4,205	4,205	100%
Total	52,505	52,505	100%	52,224	52,224	100%
Workers						
Male	2,084	2,084	100%	2,073	2,073	100%
Female	7	7	100%	6	6	100%
Total	2,091	2,091	100%	2,079	2,079	100%

10. Health and safety Management systems:
a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

The Company's commitment to health and safety extends beyond regulatory compliance and is focused on ensuring the well-being of all stakeholders. All Company work locations — including EPC project sites, manufacturing facilities, and offices — are covered under a comprehensive Occupational Health and Safety (OHS) Management System. The system covers not only permanent employees and workers but also non-permanent employees and contractual workers.

To implement the Company's 'Mission Zero Harm' and the Corporate EHS Policy, an EHS Management System has been established in alignment with ISO 45001:2018 standards. The Management System provides a structured framework for the assessment and management of EHS risks and supports continuous improvement in performance.

The effectiveness of the system is further validated through assessments conducted by third-party assurance agencies such as DNV and TUV, and it is certified to meet the requirements of applicable standards, including ISO 45001:2018.

For details on safety and related disclosures, please refer to 'Human Capital' section of the Integrated Annual Report FY 2024-25.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Hazard Identification and Risk Assessment (HIRA) forms a key component of the Company's EHS Management System. The HIRA process begins with listing all activities and processes at a given location, followed by the identification and mapping of associated hazards. Typical inputs for hazard identification include process flow

diagrams, job hazard analyses, historical incidents and near-miss records, material information sheets, and activity mappings, covering both routine and non-routine operations. Risk Assessment involves two stages:

- Risk Analysis: Assessment of the likelihood of hazards causing impact and the level of exposure to such hazards.
- Risk Evaluation: Analysis of the probability and severity of risks to assign risk ratings.

Based on the risk severity, appropriate mitigation measures are designed and implemented. The HIRA process actively involves relevant stakeholders, including design engineers, construction engineers, planning functions, EHS team members, and workers, to ensure comprehensive risk assessment and effective mitigation.

c. **Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)**

The Company actively engages workers in its EHS Management System by identifying and deploying safety-conscious workers at various work locations. These workers are responsible for identifying and reporting hazards, enabling immediate corrective actions. A 'Pre-Start Verification' and daily briefing are conducted before the commencement of work each day to ensure that the safety risks associated with daily tasks are assessed and site conditions are verified for compliance with Risk Assessments and Safe Work Methods.

Each work location has a Site EHS Committee, comprising key stakeholders, including worker representatives. During the monthly committee meetings, worker representatives are encouraged to actively participate, highlight any hazards or risks encountered, and collaborate on identifying possible mitigation measures. This structured engagement ensures that frontline perspectives are incorporated into the Company's EHS risk management and continuous improvement initiatives.

d. **Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)**

The Company is committed to ensuring the health and well-being of its employees and workers through comprehensive medical services and well-being programmes. In addition to first aid and emergency services, the Company has implemented various initiatives to address both occupational and non-occupational health needs.

- **First Aid and Emergency Services:** Available for both employees and workers at all work locations.
- **Medical Centres:** On-site medical centres assist in managing non-occupational medical cases in addition to occupational health services.
- **Tie-ups with Local Hospitals:** Location-specific agreements with nearby hospitals and nursing homes ensure prioritised access to medical facilities.
- **Mental Health and Non-Occupational Health programmes:** These include annual health-checkups, special check-up drives (e.g., blood sugar, HbA1c monitoring, cancer), vaccination drives such as flu, pneumococcal, cervical, campaigns such as Freedom from Diabetes, and health advisories from medical teams.

11. **Details of safety related incidents, in the following format:**

The statistics below include employees and workers located in project sites and manufacturing facilities.

Safety Incident/Number	Category	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.04	0.04
	Workers	0.12	0.07
Total recordable work-related injuries	Employees	5	6
	Workers	116	79
Number of fatalities	Employees	1	0
	Workers	33	23
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	1
	Workers	8	1

Mission Zero Harm' is the Company's guiding principle for safety performance. However, it is with regret the Company reports an increase in fatalities during FY 2024-25. The Company has treated this as a critical issue requiring immediate

attention. A thorough investigation was conducted into all incidents. To address the shortfalls in processes and enhance the systems, the Company has implemented several corrective actions during FY 2024-25 and which are elaborated under Q 15 in this section. The Company is fully committed to improving safety performance and ensuring a safer workplace for all employees and workers.

For details on safety management systems and processes, please refer to 'Human Capital' section of the Integrated Annual Report FY 2024-25.

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

'Mission Zero Harm' is the goal of the Company for health and safety, embedded within the Corporate EHS Policy. This policy guides the formulation of processes and systems to ensure a safe and healthy work environment. The EHS Management System has been implemented at all work locations, designed in accordance with ISO 14001 and ISO 45001 standards, that are audited and verified through third-party certification agencies. This ensures that proper systems and processes are in place, which are continuously improved upon. As part of the EHS Management System, each work location develops a location-specific EHS plan to proactively manage and mitigate risks. While the implementation of these systems is the responsibility of all individuals at the location, key teams such as EHS, HR, Admin, and Medical are central to ensuring compliance with safety and health requirements.

To strengthen these processes, internal audits are conducted at multiple levels by the business units, inter-business teams, and external auditors or accredited third-party agencies. For high-priority project sites, audit frequency and depth are enhanced based on the specific risk profile of the location.

The Company has embraced digital systems and applications to reduce manual efforts in tracking observations, monitoring performance, and conducting data analytics. Technologies like AR/VR are also leveraged to enhance training and safety awareness for employees and workers. Additional measures taken to enhance safety standards include:

- HSE Surveillance Rating implementation
- Knowledge Management, including capturing of lessons learned and hosting special sessions by Subject Matter Experts (SMEs)
- Behaviour-based safety systems
- Specialised training modules for high-risk activities

13. Number of Complaints on the following made by employees and workers:

Benefits	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	143	NIL	–	117	NIL	
Health & Safety	47	NIL	–	135	NIL	

14. Assessments for the year:

	Percentage of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	The business units of the Company are certified by independent third parties on ISO 45001:2018 standards. These units undergo periodic external audits to ensure adherence to safety protocols and verify compliance with applicable standards and guidelines. In addition to EHS certifications, key manufacturing facilities are also certified under SA 8000 standards, a globally recognised certification programme focusing on human rights and labour management.
Working Conditions	Furthermore, each year, internal self-assessment is conducted across manufacturing plants and projects to identify potential human rights risks including health and safety management systems and working conditions. This involves cross-functional teams including Admin, Industrial Relations, project management, HR, and EHS managers.

15. **Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.**

The EHS Council is the apex committee responsible for monitoring the Company's health and safety performance and identifying areas for continuous improvement. Incident investigation reports, particularly for fatalities or major incidents (such as lost time injuries), are reviewed in council meetings to identify gaps in current systems and processes, with corrective actions being determined and closely monitored.

In response to recent unfortunate deterioration in safety performance, the Company has introduced several initiatives this year to address the identified challenges, including:

1. **Serious Incident Review Committee (SIRC):** A committee consisting of the Chairman and Managing Director (CMD), the EHS Council head, and senior management from the relevant business units has been established to review all severe incidents and initiate corrective actions to prevent recurrence.
2. **Designated Incident Investigators:** 40 EHS professionals across all businesses were trained for 5 days TapRoot Course on Incident investigation. They have been appointed as 'Zonal Incident Investigators' and designated for conducting detailed incident investigations and submit the report to SIRC within 72 hours.
3. **Reward and Penalty System:** A reward and penalty system has been implemented for the EPC projects business. Business units achieving safety performance above targets will receive a fixed monetary reward, while units failing to meet targets will incur a fixed penalty. This system also influences the annual performance linked rewards or bonuses for employees.
4. **Orange Helmets for New workers:** New workers are required to wear orange helmets for the first six weeks of employment. After this period, they undergo re-induction and assessment before continuing their work.
5. **Revamped Onboarding Process for Contractual workers:** The onboarding process for contractual workers has been overhauled to include the identification of pre-existing medical conditions and a full medical history assessment to better identify and mitigate potential risks.

LEADERSHIP INDICATORS

1. Does the entity extend any life insurance or any compensatory package in the event of death of

- a. **Employees (Y/N):** Yes
- b. **Workers (Y/N):** Yes

The Company is committed to safeguarding the financial well-being of its employees and workers through comprehensive insurance coverage.

- **Life Insurance:** All employees are covered under a term life insurance policy arranged by the Company, offering financial protection to their dependents in the event of an untimely demise.
- **Health Insurance (mediclaime):** To cover medical expenses, employees and eligible workers are enrolled under a Mediclaim policy providing health insurance benefits.
- **Non-Permanent workers:** In the unfortunate event of a fatality involving non-permanent (contractual) worker, the Company ensures compensatory payments are made in line with applicable laws and regulations. Additional support measures are also extended on a case-by-case basis, reflecting the Company's commitment to worker welfare.

The Company regularly reviews and updates its insurance coverage and compensatory practices to align with evolving business needs and regulatory frameworks.

2. **Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.**

The Company ensures that statutory dues from the value chain partners i.e., contract workers and supply chain partners, are deposited on time. Proof of payment or record of statutory dues paid by the subcontractors e.g., records for Provident Fund (PF) deposit for workers are maintained. GST payment by the suppliers is matched through GST portal to ensure compliance, amongst other controls.

3. **Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:**

Benefits	Total no. of affected employees/workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	1	1	0	0
Workers	41	24	0	0

4. **Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)**

Yes, the Company provides transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement on merit.

5. **Details on assessment of value chain partners:**

	Percentage of value chain partners (by value of business done) that were assessed
Health and safety practices Working Conditions	In line with its commitment to promoting sustainability across the value chain, the Company had identified 120 critical supply chain partners to undergo ESG assessment during the year, contributing to 23% of the procurement by value of the Company. These supply chain partners were assessed under five modules: Governance, Ethical business practices, Human rights and labour management, Health and safety and Environment.
	The assessment was carried out by an independent third party through a detailed questionnaire developed in alignment with regulatory requirements, BRSR disclosure expectations, and global sustainability standards. The assessment process was conducted remotely (desktop-based) through interactions with supply chain partners and review of documents and evidence provided by them as well as, in person onsite with selected low scoring supply chain partners.
	Following the assessment, gaps identified were communicated to the respective supply chain partners along with recommendations and suggested action plans aimed at strengthening their sustainability performance and compliance. <i>For details of the Company's initiatives on incorporating sustainability in supply chain, please refer to 'Social and Relationship Capital' and 'Human Capital' for disclosures related to human rights in supply chain of the Integrated Annual Report FY 2024-25.</i>

6. **Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

No significant risks or concerns were identified from the ESG assessments conducted during the year. The Company ensures that all supply chain partners understand and formally acknowledge the Company's Code of Conduct, which is a mandatory requirement during the vendor registration and onboarding process. To further strengthen ESG awareness and compliance, training sessions were conducted for supply chain partners during the year, covering key Company policies including the Sustainable Supply Chain Policy, Sustainability Policy, Whistleblower Policy, and Code of Conduct. In instances where concerns, observations, or potential risks are identified — whether during formal assessments or through other interactions — the Company promptly initiates appropriate corrective and preventive actions to address them.

Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders

ESSENTIAL INDICATORS

1. **Describe the processes for identifying key stakeholder groups of the entity.**

L&T's core businesses operate in the domains of EPC projects (Engineering, Procurement, and Construction) and Hi-Tech Manufacturing. In its pursuit of delivering long-term value, the Company seeks to balance business objectives with the needs, expectations, and interests of a diverse set of stakeholders. Stakeholder identification is carried out using well-defined parameters such as the stakeholder's influence on the business, the degree to which they are impacted by

L&T's operations and their relevance in the context of emerging ESG trends and regulations. The overview of the process followed is as:

I. **Define the purpose and scope**

- Determine the goal of the stakeholder identification—e.g., ESG reporting, materiality assessment, strategy development, or project-specific engagement.
- Clarify the scope (e.g., enterprise-wide, regional, or specific to a project or issue).

II. **Map the Value Chain:** Identify all parties directly or indirectly connected to each stage (e.g., suppliers, contractors, customers).

III. **Categorise Stakeholders**

- Group stakeholders into broad categories such as:
 - **Internal stakeholders:** Employees, management, board of directors, unions.
 - **External stakeholders:** Customers, suppliers, investors, regulatory bodies, NGOs, local communities, media, academia.

IV. **Assess Stakeholder Influence and Impact**

- Evaluate each group's:
 - **Degree of Dependency:** Stakeholders who are directly dependent on the Company's operations, or on whom the Company depends for its own functioning. Examples: customers, Government (as clients), employees (including workers), supply chain partners, investors
 - **Degree of Responsibility:** Stakeholders to whom the Company has, or may have in the future, legal, commercial, operational, or ethical/moral responsibilities. Examples: communities, shareholders
 - **Sphere of Influence:** Stakeholders who can have a direct or indirect impact on L&T's strategic decisions and business operations. Examples: senior management and leadership, regulatory bodies
 - **Diverse Perspectives:** Stakeholders who offer broader insights or diverse viewpoints that enhance understanding of national and global affairs. Examples: media, NGO partners

V. **Review ESG and Regulatory Frameworks:** Align with global standards to ensure relevant stakeholder categories are considered.

VI. **Incorporate Stakeholder Feedback**

- Use surveys, interviews, workshops, or forums to validate and refine the list of stakeholders.
- Incorporate insights from past engagements or grievance mechanisms.

VII. **Continuously Monitor and Update:** Reassess stakeholder groups periodically to capture changes due to new projects, market conditions, social dynamics, or regulatory shifts.

2. **List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.**

The key stakeholders of the Company are customers (Government bodies, public sector entities and private sector firms), employees and workers, supply chain partners, shareholders and investors, communities and NGO partners, regulatory bodies and media. *The details are covered in the 'Driving Stakeholder Engagement' section of the Integrated Annual Report FY 2024-25.*

LEADERSHIP INDICATORS

1. **Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

L&T has implemented a comprehensive governance framework to effectively manage and monitor ESG (Environmental, Social, and Governance) areas. To support this, several committees have been established, including the CSR &

Sustainability Committee, Risk Management Committee, and Stakeholders' Relationship Committee at the Board level, all chaired by Independent Directors. Additionally, management level committees such as the EHS (Environment, Health and Safety) Council, Material Council, and Quality Council focus on specific areas of concern. Each committee operates according to its defined terms of reference and meets regularly to review the Company's performance in their respective domains. Insights, performance updates, concerns, and issues related to ESG are gathered from these committee reviews and presented to the Board during its quarterly meetings. L&T also conducts structured stakeholder engagement exercises on ESG topics, ensuring regular interaction with key stakeholders. These engagements follow a systematic approach with clearly defined frequency, delegation, and reporting protocols. The feedback and outcomes from these exercises are formally communicated to the Board for informed decision-making and enhanced alignment with stakeholder expectations.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Stakeholder consultation plays a crucial role in identifying and managing environmental and social topics. The Company engages with a wide range of stakeholders, including employees, investors, local communities, regulatory bodies, NGOs, suppliers, and customers through various mechanisms such as surveys, meetings, focused group discussions, public consultations, and stakeholder forums. A few examples of incorporating stakeholders' inputs in the policies and processes are:

1. Environmental topics:

- **Climate Action and Energy Transition:**

- Customers and investors encouraged greater climate-related disclosures aligned with TCFD.
- As a response, L&T enhanced its climate risk reporting and set targets for Carbon Neutrality in Scope 1 and 2 emissions by 2040 (*refer to Natural Capital of the Integrated Annual Report FY 2024-25*). L&T also disclosed on CDP its environmental impact and sustainability initiatives. This disclosure underscores L&T's commitment to transparency and accountability in addressing climate change.

- **Resource Efficiency and Circularity:**

- Employee feedback, particularly from project sites, highlighted opportunities to increase resource optimisation and efficiency.
- Several initiatives are taken up by the employees to reduce and recycle waste, increase use of treated wastewater and so on.

- **Enhancement of Environmental Data Management (L&T-EARTH Platform):**

- Previously, L&T managed sustainability and environmental data through a third-party service provider. However, several operational challenges were being faced including enhanced reporting requirements for BRSR and other sustainability disclosures. Based on feedback from employees managing sustainability reporting across businesses as well as other stakeholders, L&T collaborated with L&T Technology Services to develop a customised, cloud-based data platform — L&T-EARTH.
- L&T-EARTH allows data capture at each site and location level and is scalable, modular and adaptable. It is integrated with L&T's ERP systems, automating data flow, and minimising manual entry errors. A robust maker-checker mechanism and status tracking features have been incorporated to enhance data governance and reporting quality. Future changes in reporting requirements (e.g., introduction of new ESG metrics) and analytics for decision making can be flexibly incorporated into the platform.

2. Social Topics:

- **Employee Well-being**

- Feedback received during and after the COVID-19 pandemic highlighted a growing need for enhanced mental health support and accessible emotional wellness resources.

- L&T rolled out several well-being initiatives in the past years, covering mental health helplines, counselling sessions, enhanced insurance coverage for employees and their families, thrust on annual health check-ups and so on.
- Formulation of a structured Wellness Policy that consolidates key wellness initiatives undertaken by L&T across physical, mental, and emotional health dimensions.
 - Pilot Wellness Index Survey was conducted to assess the overall well-being of employees and identify areas of strength and improvement within the organisation.
 - Insights from the survey led to the formulation and release of a structured Wellness Policy and related initiatives.
 - Initiatives include annual 'Aarogya Mela' which was organised to provide employees access to a wide range of health screenings and diagnostic tests at one location.
- **Introduction of Menstrual Leave:**
 - Based on feedback received from female employees working at the shop floors, project sites, L&T recognised the need for a more supportive approach to women's health at the workplace.
 - Consequently, L&T introduced Menstrual Leave, allowing women employees to take a day off every month.
 - A simple, confidential process has been set up to ensure that women can avail menstrual leave with dignity and without unnecessary formalities.
- **Skill Development and Career Progression:**
 - Emphasis on the need for more structured career growth opportunities by the employees.
 - In response, L&T keeps expanding its training, learning and development programmes for continuous learning, and strengthened internal mobility policies to ensure merit-based career progression across business units.

3. **Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalized stakeholder groups.**

Vulnerable Group	Concerns	Action Taken	Impact
Farmer community in water stressed and drought prone locations	Drought, Poverty, Migration	• Organised farmers community to form Village Development Committees (VDC) and Farmers Producer Organisation (FPO) • Water made available with wastewater and conservation intervention • Capacity building in sustainable agricultural practices • Maintenance of water structures by the VDC along with Panchayat	• Rise in ground water table and water made available to population of 1,06,008 across 11 Integrated Community Development Programme (ICDP) locations and 8,411 hectares land protected from direct run-off in three ICDP locations • Increase in household agricultural income • Reverse migration
Rural population without access to proper sanitation facilities	Open defecation leading to health issues and social disgrace	• Community awareness regarding making villages open defecation free (ODF) • Construction of toilets after ensuring water availability • Village level monitoring committee formed to ensure ODF status of the village	• 5,366 toilets constructed, and 41 villages are made ODF • Women felt safe to use household toilet and saved from embarrassment and social disgrace

Vulnerable Group	Concerns	Action Taken	Impact
Disadvantaged rural women	Gender related issues viz. no decision-making power in household and community related issues	- Women were part of need assessment, and their critical concerns were prioritised - Village level women groups formed and organised in Self Help Groups (SHGs) - Ensured equal representation of women in VDCs and community level decision making	305 SHGs formed in three ICDP locations with ₹ 191.6 lakh savings - Women are assuming community leadership positions e.g. president of VDC, FPO formed with all women board members
Underprivileged community from urban and peri-urban areas	Unaffordable and inaccessible health services Patients cannot afford the dialysis treatment in private hospitals Unskilled, unemployed youth Unemployed youth trained in L&T's Construction Skills Training Institutes and facilitation for job placements	- Affordable general health services along with consultations in specialised clinics provided through nine health centres across India and mobile health vans - Provision of dialysis services at a concessional rate Unemployed youth trained in L&T's Construction Skills Training Institutes and facilitation for job placements	- beneficiaries who benefitted from the services - Dialysis patients taking regular treatment at the L&T health centre In 2024, trained 12,594 youth and achieved 72% placement rate.
Students in tribal/ rural schools or urban resource poor schools	Students have difficulties in learning science and maths subjects and no access to digital and hands on education	Providing Science, Technology, Engineering and Maths (STEM) kits for hands on learning in science and maths and use of digital infrastructure, digital content mapped to the curriculum and training to teachers to conduct classes using digital media	5,292 students took part in science exhibitions - Students making their own STEM models and presenting solutions addressing everyday problems by using technology
School students without access to clean toilets	School toilets dilapidated or not functional	Constructed toilet blocks in the schools for students	Increase in attendance of girls

Principle 5: Businesses should respect and promote human rights

ESSENTIAL INDICATORS

1. **Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:**

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees/ workers covered (B)	% (B/A) ⁶	Total (C)	No. of employees/ workers covered (D)	% (D/C)
Employees						
Permanent	52,505	57,756	100%	52,224	21,646	41%
Other than permanent	3,960	4,344	100%	5,041	5,873	100%
Total Employees	56,465	62,100	100%	57,265	27,519	48%
Workers						
Permanent	2,091	2,091	100%	2,079	2,079	100%
Other than permanent	3,54,415	3,54,415	100%	3,48,094	3,48,094	100%
Total Workers	3,56,506	3,56,506	100%	3,50,173	3,50,173	100%

⁶ As on March 31, 2025, the number of trainings conducted are higher than the number of employees and workers due to the attrition and new joinees.

During the year, the Company introduced a dedicated training module to enhance employee awareness of human rights. Additionally, various awareness sessions are conducted for workers, covering human rights aspects. For instance, induction and toolbox talks are mandatory for all workers joining any site, location, or project. The process includes, but is not limited to, topics such as wage breakdown, PF deduction, health and safety, account creation for wage deposits and KYC procedures.

Furthermore, systems are in place to ensure compliance with child labour laws (e.g. submission of Aadhaar card as proof of age) and to prevent forced labour through proof of employment (e.g. wage slips, issuance of gate passes/ID cards). Daily toolbox talks also address some of these aspects, in addition to job-specific roles. Key manufacturing facilities of the Company are SA 8000 certified by independent third-party certification agencies, covering elements such as child labour, forced labour, discrimination, working hours, remuneration, freedom of association and grievance redressal mechanisms. Please refer to 'Human Capital' chapter of the Integrated Annual Report FY2024-25 for more information on human rights.

2. **Details of minimum wages paid to employees and workers, in the following format:**

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	52,505	–	–	52,505	100%	52,224	–	–	52,224	100%
Male	47,747	–	–	47,747	100%	48,019	–	–	48,019	100%
Female	4,758	–	–	4,758	100%	4,205	–	–	4,205	100%
Other than permanent	3,960	–	–	3,960	100%	5,041	–	–	5,041	100%
Male	3,753	–	–	3,753	100%	4,793	–	–	4,793	100%
Female	207	–	–	207	100%	248	–	–	248	100%
Workers										
Permanent	2,091	–	–	2,091	100%	2,079	–	–	2,079	100%
Male	2,084	–	–	2,084	100%	2,073	–	–	2,073	100%
Female	7	–	–	7	100%	6	–	–	6	100%
Other than permanent	3,54,415	2,87,585	81%	66,830	19%	3,48,094	3,04,005	87%	44,088	13%
Male	3,52,339	2,85,897	81%	66,442	19%	3,45,287	3,01,677	87%	43,609	13%
Female	2,076	1,688	81%	388	19%	2,807	2,328	83%	479	17%

3. **Details of remuneration/salary/wages, in the following format:**

a. **Median remuneration / wages:**

Particulars	Male		Female	
	Number	Median remuneration/salary/wages of respective category	Number	Median remuneration/salary/wages of respective category
Board of Directors (BoD) - Whole Time Directors	6	27,59,55,854	0	0
Key Managerial Personnel (KMP)	1	1,84,99,632	0	0
Employees other than BoD and KMP	51,493	11,29,359	4,965	7,14,566
Workers	2,084	9,40,007	7	13,57,077

b. **Gross wages paid to females as % of total wages paid by the entity, in the following format:**

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages [employees including permanent and other than permanent categories, and permanent worker]	5.7%	5.4%
Gross wages paid to females as % of total wages [other than permanent/contract workers]	0.2%	Not tracked and reported

In FY 2023–24 and FY 2024–25, wages reported are for employees (both permanent and non-permanent) and permanent workers. Given that the Company has computed the values based on CTC, this includes retirement benefits as well.

The Company engages contractors under two primary categories: service contracts and manpower contracts, with service contracts comprising over 70% of total engagements. For service contracts, while the Company does not directly monitor or record wages paid by contractors, it ensures adherence to all statutory compliances mandated for such engagements. Additionally, in certain service contracts, subcontractors independently obtain labour licenses and undertake the necessary statutory filings under the Contract Labour (Regulation and Abolition) Act (CLRA). In the case of manpower contracts, the Company maintains direct oversight of the workers deployed at its sites. Consequently, such data may not be reflected in the Company's CLRA reporting.

For FY 2024-25, data has been sourced from the filings under the CLRA for the calendar year 2024 (January to December). These filings cover both service and manpower contracts, and include disclosures on wages paid to female workers categorized as 'other than permanent' (i.e., contractual).

The data collation process currently remains largely manual, and there are gaps in the supporting evidence submitted by contractors to substantiate the figures reported in the Company's CLRA filings. Furthermore, since wage data is primarily available on a calendar-year basis, it does not align with the financial year reporting period, posing challenges in reconciliation. The Company is actively working on strengthening its wage reporting mechanisms to improve accuracy and alignment in future disclosures.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

The Chief Human Resources Officer is the focal point for human rights related issues at the Company level. For implementation across the sites and manufacturing plants, designated personnel from IR/Admin/EHS functions are responsible for human rights and labour management. At business level, IR/Admin Heads of respective businesses are the focal points supported by HR heads.

For details on the governance and management processes related to Human Rights, please refer to 'Human Capital' chapter of the Integrated Annual Report FY 2024-25.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Respect for and commitment to human rights are fundamental components of the Company's Code of Conduct for employees. Any violations of the Code of Conduct are to be reported to the first-level reporting authority, who is responsible for investigating the matter and taking appropriate action. If the violation involves the first-level reporting authority, the issue is escalated to the second-level reporting authority. In cases where a violation is deemed severe, it is referred to the Whistleblower Investigation Committee for further action within a reasonable timeframe.

The Company is dedicated to fostering a safe and inclusive workplace, free from any form of sexual harassment. To this end, a comprehensive Policy for the Protection of Women's Rights at the Workplace has been established, in alignment with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("POSH Act"). This policy applies to all employees, workers, and contract workers across all L&T establishments in India, and extends protection to visitors, including clients, customers, third-party contractors, vendors, suppliers, and business representatives.

In instances where sexual harassment arises due to the actions of third parties, the Company takes all necessary reasonable steps to support the affected individuals. To ensure full compliance with the POSH Act, Internal Complaints Committees (ICCs) have been constituted across various administrative units. The ICCs are responsible for registering complaints, conducting investigations, concluding proceedings, and recommending redressal measures. The recommendations of the ICCs are implemented by the Company. They also regularly organise workshops and awareness sessions to promote a harassment-free workplace.

Additionally, two Apex Committees have been established at the highest organizational level, comprising representatives from various ICCs and senior leadership, to oversee the implementation and compliance of the POSH Act across the Company.

The Company has implemented a structured whistleblower mechanism that encourages employees and vendors to report any unethical behaviour, improper practices, misconduct, violations of legal or regulatory requirements, or instances of unfair treatment that could negatively impact the Company's operations, performance, or reputation, without fear of

retaliation. Reports are investigated impartially, and appropriate corrective actions are taken to uphold the Company's standards of ethical and professional conduct.

For details on the governance and management processes related to Human Rights, please refer to 'Human Capital' chapter of the Integrated Annual Report FY 2024-25.

6. **Number of Complaints on the following made by employees and workers:**

Particulars	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	12	1	Complaints registered and redressed under the POSH Act	3	2	Complaints registered and redressed under the POSH Act
Discrimination at workplace	0	0		0	0	
Child Labour	0	0		0	0	
Forced Labour/ Involuntary Labour	0	0		0	0	
Wages	0	0		0	0	
Other human rights related issues	0	0		0	0	

For FY 2024-25, one case was received in the last week of the financial year and investigation is ongoing, and one case was not upheld. Two cases from previous financial year have been upheld and redressed as per the POSH Act.

7. **Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:**

Particulars	FY 2024-25	FY 2023-24
Total complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	12	3
Complaints on POSH as a % of female employees / workers ⁷	0.17%	0.04%
Complaints on POSH upheld	10	1

⁷ Covers females based in India, both employee and worker (permanent and other than permanent) categories.

For FY 2024-25, one POSH case was received in the last week of the financial year and investigation is ongoing, and one case was not upheld. Two cases from previous financial year have been upheld and redressed as per the POSH Act.

8. **Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.**

The mechanism has been covered in the answer to the Question 5 in this section. The Company has adopted a comprehensive Code of Conduct applicable to all employees, senior management, and Board members, outlining the standards of ethical behaviour and professional conduct expected at all levels. All violations of the Code of Conduct should be reported according to the Reporting Matrix embedded within the policy framework. The Code of Conduct also details the grievance redressal process and prescribes preventive and corrective measures to uphold the Company's commitment to ethical business practices.

9. **Do human rights requirements form part of your business agreements and contracts? (Yes/No).**

Yes, human rights requirements are integral to the business agreements and contracts. The Company's Code of Conduct for suppliers emphasises a commitment to Human Rights, Labour Standards and societal well-being, aligning with internationally recognised frameworks such as the UN Global Compact Principles and the ILO. All supply chain partners are required to understand, acknowledge and adhere to the norms set forth in the Code of Conduct. Signing the Code of Conduct is a mandatory prerequisite during the vendor onboarding process, affirming their commitment to responsible and ethical business practices. It covers key aspects including fair and safe working conditions, occupational health and safety, prohibition of child labour, forced or compulsory labour, non-discrimination, payment of fair wages, and a zero-tolerance approach towards harassment and abuse.

Additionally, compliance with applicable regulatory requirements — including health and quality standards, statutory wage payments, PF deductions and other labour-related obligations — is formally integrated into all supplier agreements and contractual obligations.

10. Assessments for the year:

Particulars	Percentage of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	The key manufacturing plants are certified under SA 8000 standards, a globally recognised certification programme focusing on human rights and labour management.
Forced/involuntary labour	
Sexual harassment	Furthermore, each year, an internal self-assessment is conducted across manufacturing plants, offices and projects to identify potential human rights risks including health and safety management systems and working conditions. This involves cross-functional teams including Admin, Industrial Relations (IR), project management, HR, and EHS managers.
Discrimination at workplace	
Wages	
Others - please specify	

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

No significant risks/concerns arose that required any corrective actions with respect to human rights related issues.

LEADERSHIP INDICATORS

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

Though there were no complaints received in FY2024-25 related to human rights, the grievance redressal mechanism has been strengthened for the contractual workers. *The details of the mechanism have already been discussed in Section A 'VII. Transparency and disclosures compliances.'*

2. Details of the scope and coverage of any Human rights due diligence conducted.

The Company's human rights due diligence framework covers the contractual workers and encompasses its operational footprint, including EPC project sites, manufacturing facilities, and offices. This assessment evaluates compliance with human rights principles, focusing on the prevention of child labour, elimination of forced or involuntary labour, payment of fair and timely wages, prevention of sexual harassment, eradication of modern slavery practices, promotion of non-discrimination, assurance of safe and healthy working conditions, and provision of accessible grievance redressal mechanisms.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

The Company is committed to fostering an inclusive and accessible work environment in accordance with the Rights of Persons with Disabilities Act, 2016. Most of our premises are equipped to accommodate differently-abled employees and workers, featuring facilities such as ramps and elevators with accessibility features.

4. Details on assessment of value chain partners:

Particulars	Percentage of value chain partners (by value of business done with such partners) that were assessed
Child labour	In line with its commitment to promoting sustainability across the value chain, the Company had identified and assessed 120 critical supply chain partners during the year, contributing to 23% of the procurement of the Company. These supply chain partners were assessed under five modules: Governance, Ethical business practices, Human rights and labour management, Health & Safety and Environment.
Forced/involuntary labour	
Sexual harassment	The assessment was carried out by an independent third party through a detailed questionnaire developed in alignment with regulatory requirements, BRSR disclosure expectations, and global sustainability standards. The assessment process was conducted remotely (desktop-based) through interactions with supply chain partners and review of documents and evidence provided by them as well as, in person onsite with selected low scoring supply chain partners.
Discrimination at workplace	
Wages	
Others - please specify	Following the assessment, gaps identified were communicated to the respective supply chain partners along with recommendations and suggested action plans aimed at strengthening their sustainability performance and compliance.

Particulars	Percentage of value chain partners (by value of business done with such partners) that were assessed
	<i>For details of the Company's initiatives on incorporating sustainability in supply chain, please refer to 'Social and Relationship Capital' and 'Human Capital' for disclosures related to human rights in supply chain of the Integrated Annual Report FY 2024-25.</i>

5. **Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.**

No significant human rights risks or concerns were identified through the assessment during the reporting year. The Company ensures that all supply chain partners engaged are made aware of and formally agree to the Company's Code of Conduct, which is a mandatory requirement during the vendor registration and onboarding process.

If any concern or risk arises during the year—whether identified through formal assessments or otherwise—the Company undertakes appropriate corrective and preventive actions to address and mitigate the issue.

Principle 6: Businesses should respect and make efforts to protect and restore the environment

ESSENTIAL INDICATORS

1. **Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Parameter	FY 2024-25	FY 2023-24
From renewable sources (in Gigajoules)		
Total electricity consumption (A)	2,48,561	1,55,046
Total fuel consumption (B)	64,882	38,552
Energy consumption through other sources (C)	0	0
Total energy consumed from renewable sources (A+B+C)	3,13,443	1,93,598
From non-renewable sources (in Gigajoules)		
Total electricity consumption (D)	14,10,297	15,29,592
Total fuel consumption (E)	82,06,677	87,64,602
Energy consumption through other sources (F)	0	0
Total energy consumed from non-renewable sources (D+E+F)	96,16,974	1,02,94,194
Total energy consumed (A+B+C+D+E+F) (in Gigajoules)	99,30,417	1,04,87,792
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations) (in GJ/₹ Cr)	69.7	83.1
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP) (in GJ/PPP Mn USD)	144	186.1

IMF PPP conversion rate (22.4), available for March 2024, was used for total income PPP adjusted value for FY 2023-24. IMF had revised the PPP methodology and PPP conversion rate in October 2024. For FY 2024-25, latest IMF PPP conversion rate (20.66) has been used.

Energy intensity decreased by 16% compared to FY 2023-24. This reduction was due to:

- Transition from DG sets to grid connections, e.g., rail line tunnel projects in Uttarakhand, metro rail projects in some cities.
- Closed or approaching closure of some large contracts, e.g., contract related to dedicated freight corridor project, water treatment project in Middle East, project related to offshore oil & gas facilities.
- Other initiatives taken by taskforce for reducing diesel consumption

Please refer to 'Natural Capital' section and 'Reducing Energy Intensity' sub-section of Integrated Annual Report FY 2024-25.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

Yes, data has been assured by Deloitte Haskins & Sells LLP. The assurance statement is provided at the end of BRSR report section in Integrated Annual Report FY 2024-25.

2. **Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N)**

No, the Company does not have any site or facility identified as designated consumers (DCs) under Performance, Achieve and Trade (PAT) Scheme of the Government of India.

3. **Provide details of the following disclosures related to water, in the following format:**

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	25,73,331	23,14,470
(ii) Groundwater	88,15,932	78,73,240
(iii) Third party water	5,85,735	20,53,537
(iv) Seawater / desalinated water	2,920	7,344
(v) Others	78,40,556	38,76,733
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	1,98,18,474	1,61,25,324
Total volume of water consumption (in kilolitres)	1,54,31,695	1,28,76,481
Water intensity per rupee of turnover (Total water consumption/ Revenue from operations) (in kilolitres/₹ Cr)	108.3	102
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP) (in kilolitres/PPP Mn USD)	223.7	228.5

IMF PPP conversion rate (22.4), available for March 2024, was used for total income PPP adjusted value for FY 2023-24. IMF had revised the PPP methodology and PPP conversion rate in October 2024. For FY 2024-25, latest IMF PPP conversion rate (20.66) has been used.

In FY 2024-25, the Company has made significant improvement in capturing and managing data related to water by rolling out redesigned Standard Operating Procedures (SOPs), by implementing a new data management platform (L&T-EARTH) with checks and analytics, and by installing flowmeters at various sites, with automatic data capturing. The Company has adopted a hybrid approach, direct measurement through flowmeters at some locations, and estimation method in other locations. For estimation-based data, domestic water requirement is estimated based on National Building Code of India (NBC 2016) and industrial water requirement is estimated based on production volumes of activity at the respective site and volume of water per unit of production. However, the Company has more than 700 active work locations (EPC project sites), and this presents a significant challenge in consistent SOP implementation for water data measurement due to open system, multiple consumption, reuse and discharge points. Additionally, inadequate understanding at some sites results in certain inconsistencies e.g., water balance not being met while reporting the data. The Company intends to address these gaps and undertake uniform implementation of the SOPs along with other changes, as necessary, to ensure accurate water data measurement and reporting.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

Yes, data has been assured by Deloitte Haskins & Sells LLP. The assurance statement is provided at the end of BRSR report section in Integrated Annual Report FY 2024-25.

4. Provide the following details related to water discharged:

Parameter	FY 2024-25	FY 2023-24
Water discharged by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	0	0
- With treatment – please specify level of treatment	8,51,608 (Primary: 4,61,235) (Secondary: 2,88,964) (Tertiary: 1,01,409)	5,26,691 (Primary: 5,26,691)
(ii) To Groundwater		
- No treatment	0	0
- With treatment – please specify level of treatment	8,64,124 (Primary: 8,55,896) (Secondary: 8,228)	10,91,480 (Primary: 10,91,480)
(iii) To Seawater		
- No treatment	0	0
- With treatment – please specify level of treatment	32,417 (Primary: 72) (Secondary: 32,345)	16,448 (Secondary: 16,448)
(iv) Sent to third parties [@]		
- No treatment	4,11,440	2,36,188
- With treatment – please specify level of treatment	2,53,894 (Primary: 2,52,658) (Secondary: 1,236)	60,336 (Primary: 60,336)
(v) Others [@]		
- No treatment	17,74,173	8,94,733
- With treatment – please specify level of treatment	46,417 (Primary: 30,277) (Secondary: 14,665) (Tertiary: 1,475)	4,18,234 (Primary: 4,18,234)
Total water discharged (in kilolitres) (i + ii + iii + iv + v)	42,34,073	32,44,110

[@] Sent to third-parties and others is wastewater discharged through municipal sewer connections or given to wastewater collection and treatment service providers.

The increase in wastewater discharged in FY 2024–25 compared to FY 2023–24 is primarily due to enhanced data capture and improved reporting systems implemented across sites. This has led to more accurate and comprehensive accounting and does not indicate a deterioration in water management practices. The Company treats wastewater from project sites through STPs. Challenges and the Company's actions with respect to wastewater data reporting are same as those mentioned in the note to Principle 6, Essential Indicator Q3.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

Yes, data assurance has been carried out by Deloitte Haskins & Sells LLP. The assurance statement is provided at the end of BRSR report section in Integrated Annual Report FY 2024-25.

5. **Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.**

Major facilities of the Company located at Hazira, Kattupalli, Talegaon, Coimbatore, Ranoli, Kancheepuram, and Kansbahal have implemented Zero Liquid Discharge (ZLD) systems. These systems ensure that the entire volume of wastewater generated from operations is either recycled and reused or stored for future use. The treated wastewater is repurposed for non-potable applications such as gardening, toilet flushing, firefighting, road washing, and dust suppression, significantly reducing the environmental impact.

6. Please provide details of air emissions (other than GHG emissions) by the entity:

Data below disclosed for the following manufacturing facilities:

Parameter	UOM	FY 2024-25			FY 2023-24		
		Hazira	Pithampur	Kanchipuram	Hazira	Pithampur	Kanchipuram
SOx	mg/m ³	8	28	10	24	16	10
NOx	mg/m ³	19	18	49	19	14	46
Particulate matter (PM)	mg/m ³	17	25	39	45	26	37
Persistent organic pollutants	–	–	–	–	–	–	–
Volatile organic compounds	–	–	–	–	–	–	–
Hazardous air pollutants	–	–	–	–	–	–	–
Others	–	–	–	–	–	–	–

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

Yes, emissions from chimney stacks at respective manufacturing facilities of the Company are checked by government approved laboratories and reports are submitted to State Pollution Control Boards. Results are reviewed and analysed by the business unit of the respective location to ensure compliance to the CTO conditions.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	UOM	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	6,03,953	6,35,646
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	2,82,341	3,49,682
Total Scope 1 and Scope 2 emissions per Rupee of turnover	tCO₂e/₹ Cr	6.2	7.8
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	tCO₂e/PPP Mn USD	12.8	17.5

IMF PPP conversion rate (22.4), available for March 2024, was used for total income PPP adjusted value for FY 2023-24. IMF had revised the PPP methodology and PPP conversion rate in October 2024. For FY 2024-25, latest IMF PPP conversion rate (20.66) has been used.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

Yes, data assurance has been carried out by Deloitte Haskins & Sells LLP. The assurance statement is provided at the end of BRSR report section in Integrated Annual Report FY 2024-25.

8. Does the entity have any project related to reducing Green House Gas emission?

Details of some initiatives taken for GHG emissions reduction have been included under Leadership Indicator Question 4 of Principle-6.

9. **Provide details related to waste management by the entity, in the following format:**

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)	818	506
E-waste (B)	61	86
Bio-medical waste (C)	1	0.54
Construction and demolition waste (D)	2,62,736	2,36,846
Battery waste (E)	204	56
Radioactive waste (F)	1	5
Other hazardous waste. Please specify, if any. (G)	4,303	7,326
Other non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	1,83,102	2,09,271
Total (A+B + C + D + E + F + G + H)	4,51,226	4,54,097
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations) [MT/₹ Cr]	3.2	3.55
Waste intensity per rupee of turnover adjusted for PPP (Total waste generated / Revenue from operations adjusted for PPP) [in MT/PPP Mn USD]	6.5	8.1
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
(i) Recycled	19,475	2,05,822
(ii) Re-used	60,965	1,57,590
(iii) Other recovery operations	0	0
Total	80,440	3,63,412
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
(i) Incineration	83	0
(ii) Landfilling	1,17,645	73,535
(iii) Other disposal operations	2,55,233	3,633
Total	3,72,962	77,168

IMF PPP conversion rate (22.4), available for March 2024, was used for total income PPP adjusted value for FY 2023-24. IMF had revised the PPP methodology and PPP conversion rate in October 2024. For FY 2024-25, latest IMF PPP conversion rate (20.66) has been used.

Direct measurement (weighment) of waste is not feasible at all the locations, particularly at EPC project sites or for all types of wastes and indirect estimation has been used in those locations and wastes. Specially, measurement of construction and demolition waste presents a significant challenge due to heterogeneous composition, voluminous nature and lack of standardised measurement protocols. For estimation of waste generation, volume of activity or output at respective sites and waste generation per unit activity or process, has been used. In FY 2024-25, the Company made significant improvement in capturing and managing data related to waste across sites by rolling out redesigned Standard Operating Procedures (SOPs), implementing a new data management platform (L&T-EARTH) with checks and analytics, and is in process of strengthening its reporting for ensuring its completeness and accuracy for waste including construction & demolition waste.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

Yes, data assurance has been carried out by Deloitte Haskins & Sells LLP. The assurance statement is provided at the end of BRSR report section in Integrated Annual Report FY 2024-25.

10. **Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.**

Waste management is an integral component of L&T's EHS Management System. Each location — including EPC project sites, manufacturing facilities, and campuses — operates with a location-specific waste management plan. These plans are tailored based on the type and quantity of waste generated, as well as the applicable disposal methods, ensuring site-level effectiveness and regulatory compliance.

The Company emphasises the principles of the circular economy — Reduce, Reuse, Recycle (3Rs) — to minimise both waste generation and off-site waste disposal. For hazardous waste, storage and disposal are carried out in strict adherence to the consents issued by the Central or State Pollution Control Boards, aligned with relevant regulations such as the Battery Waste Management Rules, 2022. All hazardous waste is handled exclusively through government-authorised waste management agencies. To support effective implementation, regular training and awareness programmes are conducted for both employees and contract workers. These initiatives help ensure that waste is managed responsibly at every stage of the project lifecycle.

It is also important to note that L&T's portfolio — comprising complex, engineered-to-order equipment for process industries and other sectors — does not contain hazardous or toxic chemicals, further reducing environmental risk.

11. **If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details:**

Sl. No.	Location of operations/offices	Type of Operations	Whether the conditions of environmental approval /clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
1	A. M. Naik Heavy Engineering Complex, Hazira, Gujarat - Company's manufacturing facility located along the banks of River Tapi, 8 km from the Arabian Sea (only two jetty areas fall under Coastal Regulation Zone not the entire facility)	Manufacturing facility	Yes
2	Modular Fabrication Facility and Shipbuilding Facility in Kattupalli, Tamil Nadu - Company's manufacturing facilities located 40 km from Chennai, adjoining the Bay of Bengal	Manufacturing facility	Yes
3	Kachchi Dargah Bridge, Bihar – (EPC project) for construction of a bridge which spans the Ganges, connecting Kacchi Dargah in Patna and Bidupur in Hajipur	EPC project	Yes
4	Mumbai Ahmedabad High Speed Rail Package C3 (between Shiiphata and Zaroli village on Maharashtra-Gujarat border), Maharashtra - Contract (EPC project) for construction of high-speed rail corridor comprising viaducts and tunnels falling in forest area and coastal regulation zones	EPC project	Yes

12. **Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:**

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N)	If no, the reasons there of and corrective action taken, if any.
For projects executed as client contracts, the responsibility for conducting the Environmental Impact Assessment (EIA) lies with the client. As per the contractual scope, L&T undertakes execution in accordance with the applicable environmental clearances and regulatory requirements already secured by the client. While EIA is outside L&T's direct scope for such projects, the Company remains committed to environmental compliance and best practices during execution. All project activities are carried out in alignment with L&T's internal EHS Management System, ensuring mitigation of environmental risks and adherence to sustainability standards.				

13. **Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N).**

Yes, the Company is compliant with the applicable Act(s) and Rule(s).

LEADERSHIP INDICATORS**1. Water withdrawal, consumption, and discharge in areas of water stress (in kilolitres):**

For each facility/plant located in areas of water stress, provide the following information:

- (i) **Name of the area(s):** Water-stressed areas in Rajasthan, Uttar Pradesh, Gujarat, Haryana, Madhya Pradesh, Punjab, and National Capital Territory of Delhi.
- (ii) **Nature of operations:** EPC projects, awarded by clients, related to highways, railways, metro rail, water supply, irrigation, and oil & gas facilities
- (iii) **Water withdrawal, consumption, and discharge in the following format:**

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
Surface water	32,163	10,367
Groundwater	30,11,141	5,30,724
Third party water	95,719	15,64,155
Seawater / desalinated water	0	0
Others	14,69,436	2,43,695
Total volume of water withdrawal (in kilolitres)	46,08,459	23,48,941
Total volume of water consumption (in kilolitres)	32,23,890	15,97,080
Water intensity per rupee of turnover (Water consumed / turnover)	22.6	12.6
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	0	0
- With treatment – please specify level of treatment	1,47,992 (Primary: 32,842) (Secondary: 13,741) (Tertiary: 1,01,409)	1,72,767 (Primary: 1,72,767)
(ii) To Groundwater		
- No treatment	0	0
- With treatment – please specify level of treatment	3,05,136 (Primary: 3,05,136)	46,616 (Primary: 46,616)
(iii) To Seawater		
- No treatment	0	0
- With treatment – please specify level of treatment	0	0
(iv) Sent to third parties [®]		
- No treatment	1,11,636	1,61,597
- With treatment – please specify level of treatment	55,186 (Primary: 55,186)	21,358 (Primary: 21,358)
(v) Others [®]		
- No treatment	6,24,161	2,12,141
- With treatment – please specify level of treatment	4,039 (Secondary: 4,039)	1,41,274 (Primary: 1,41,274)
Total water discharged (in kilolitres) (i + ii + iii + iv + v)	12,48,149	7,55,753

[®] Sent to third-parties and others is wastewater discharged through municipal sewer connections or given to wastewater collection and treatment service providers.

Volume of water for water stress areas has increased significantly compared to previous year due to increase in activities at the EPC project sites located in water stress area and enhancement in data capturing of water data for water stress areas. The Company implements watershed development projects in water stressed areas, as a part of CSR interventions, to augment the water availability.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N). If yes, name of the external agency.

No independent assessment/ evaluation/assurance has been carried out by an external agency for the water data related to water stressed areas.

2. **Please provide details of total Scope 3 emissions & its intensity, in the following format:**

Parameter	UOM	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	74,58,242	70,73,536
Total Scope 3 emissions per rupee of turnover	tCO₂e/₹ Cr	52.3	56

Scope 3 emissions for the Company is reported for five categories, i.e. purchase of goods and services, upstream transportation and distribution, business travel, employee commuting and downstream leased assets. The Company has increased the coverage for purchased goods and included contribution from downstream leased assets in FY 2024-25 reporting. Emissions have been calculated based on Corporate Value Chain (Scope 3) Accounting and Reporting Standard of the GHG Protocol. More than 95% of Scope-3 emissions are attributed to purchase of goods and within that category, ~90% is contributed by steel and cement used at EPC project sites for execution of contracts given by the clients.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N).

No independent assessment/ evaluation/assurance has been carried out by an external agency for the above data.

3. **With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.**

Sl. No.	Location of operations/offices	Actions taken
1	A. M. Naik Heavy Engineering Complex, Hazira (Only two jetty areas fall under CRZ and not the entire facility)	No painting or sand blasting activities are carried out in the designated areas and no solid or liquid wastes are disposed in coastal area. Zero Liquid Discharge (ZLD) system has been implemented and green cover with local species provided. All compliances, as required under Coastal Regulation Zone (CRZ) rules, are being complied with.
2	Modular Fabrication Facility, Kattupalli and Shipbuilding Facility, Kattupalli	No ship-breaking activities are carried out and oil spill mitigation measures have been put in place. ZLD system has been implemented. Phosphating and galvanising activities are carried out beyond CRZ boundaries. All compliances, as required under CRZ rules, are being complied with.
3	Kachchi Dargah Bridge, Bihar (EPC project contract)	Implementation of Environment Management Plan is monitored by third-party agency. For prevention of soil erosion near the bank of river Ganges silt barrier has been provided and jetty has been constructed. Wastewater being treated through Sewage Treatment Plant (STP), and no solid or liquid waste discharged in river body. Muck disposal being done as per prescribed norms. Construction activity is avoided to the extent possible during night-time and during times of key seasonal wildlife activity or breeding seasons.
4	Mumbai Ahmedabad High Speed Rail Package C3, Maharashtra (EPC project contract)	Implementation of Environment Management Plan is monitored by third-party agency. Noise and vibration levels are closely monitored, and equipment fitted with silencers are deployed. Arrangements made for controlled lighting and equipment movement is monitored to avoid disturbance or negative impact on fauna. Special arrangements made for disposal of muck and construction waste. Compensatory mangrove plantation also undertaken.

Some locations mentioned in the previous year FY 2023-24 are closed on completion of contract.

4. **If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:**

Sl. No.	Initiatives undertaken	Details of the initiative (web-link, if any, may be provided along with summary)	Outcome of initiative
1	Switching from diesel power generators to grid electricity	Diesel power generators (DG sets) are used at EPC project sites due to lack of grid connectivity or for backup power. Various sites of the Company have already switched from DG sets to grid power and other possible opportunities to implement the same are being explored.	Emissions avoided in FY 2024-25: ~2,760 tCO ₂ e
2	Using biodiesel to reduce diesel consumption	Use of biodiesel has been identified as one of the key initiatives to decarbonise energy consumption. In the previous year, the Company had initiated testing and pilot implementation of biodiesel. This has now been taken up as an initiative across different business units of L&T and there are targets set now for replacement of diesel with biodiesel.	Emissions avoided in FY 2024-25: ~1,100 tCO ₂ e
3	Reusing water in curing process	Concrete curing is an essential step in concrete works at EPC project sites to achieve desired concrete strength and durability. This process requires moisture to be maintained at casted concrete for a defined time-period, e.g. 28 days, and requires significant amount of water. Conventionally, the water runs-off into the ground or storm water drain. L&T's Heavy Civil business has taken initiative to implement systems across all sites to recover the run-off water from curing in a storage tank. This water gets reused for curing purpose and helps reduce the quantity of water required in the process.	Freshwater avoided, through reuse, in FY 2024-25: ~1.78 lakh kL
4	Treated wastewater use instead of freshwater	Concrete works at EPC project sites require significant amount of water for different processes. Sourcing freshwater for construction activities, particularly in water stressed areas, in desired quantity becomes a challenge in some locations. Project team at DMRC DC-09 project took initiative to look for alternate sources of water and planned to source treated wastewater from STPs of Delhi Jal Board. This helped not only ensure water availability as per the requirements of the project but also helped avoid sourcing of freshwater.	Freshwater avoided, through use of treated wastewater, in FY 2024-25: ~6,000 kL
5	Concrete waste recycling	Cube Testing is the typical process for confirming the concrete strength and quality. This process normally uses destructive testing methods and generates concrete waste. Conventionally this concrete waste is disposed by sending for landfills. At MAHSR C-5 site, the project team undertook the initiative to recycle this concrete waste into paver blocks. The paver blocks were made by crushing concrete waste and mixing with other materials before being casted in hydraulic press. These paver blocks are in temporary works at the site itself as well as sent for use at other sites.	Helped avoid ~100 tonne of concrete waste from getting sent to landfill.

Other significant initiatives are covered in 'Natural Capital' and 'Intellectual Capital' sections of Integrated Annual Report FY 2024-25.

5. **Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.**

Disaster management is an important component of the planning or administration processes and included in EHS management system. Disaster management and emergency response plans are made specific for the work location based on the local conditions, location setup and potential emergencies which could be faced, e.g. natural calamities, major fires, major accidents outside the site boundaries, toxic gas or chemical release, disease outbreak etc. These plans also include details of Emergency Response Team with roles and responsibilities, Emergency Facilities and Emergency Contact Numbers, designated Emergency Assembly Points and Flow Chart for Emergency Response. All relevant persons at the location, including the employees, sub-contractors and contractual workers, emergency response teams are made aware of the disaster management plans for the respective locations. Training and capacity-building programmes, including

mock drills, are undertaken to maintain a high level of preparedness. L&T's disaster management or emergency response plans aim to ensure business continuity and safety of all personnel and other resources at the location.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard?

No significant risks/concerns have been raised during the year. The Company ensures that the contractors, vendors, suppliers comply with policies and guidelines including need for compliance with various environmental regulations and ethical practices.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

120 critical supply chain partners were assessed during the year, which is 23% of the total procurement by value of the Company in FY 2024-25.

8. How many Green Credits have been generated or procured:

A. By the listed entity.

No Green Credits have been generated or procured by the Company in FY 2024-25. Green Credits programme of Ministry of Environment, Forest and Climate Change (MoEFCC) does not currently allow private companies to participate in the programme.

B. By the top ten (in terms of value of purchases and sales, respectively) value chain partners.

A few value chain partners, which are public sector enterprises, had applied and paid for procurement of Green Credits. However, no Green Credits have been credited to their account in FY 2024-25. Green Credits programme of MoEFCC does not currently allow private companies to participate in the programme.

Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

ESSENTIAL INDICATORS

1. a. **Number of affiliations with trade and industry chambers/ associations:** 63
- b. **List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.**

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Confederation of Indian Industry (CII)	National
2	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
3	National Safety Council (NSC)	National
4	European Foundation for Quality Management (EFQM)	National
5	Construction Industry Development Council (CIDC)	National
6	Quality Circle Forum of India (QCFI)	National
7	American Society of Concrete Contractors (ASCC)	International
8	British Safety Council (BSC)	International
9	International Chamber of Commerce (ICC)	International
10	International Water Association	International

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

There was no issue related to anti-competitive conduct by the entity during the year.

LEADERSHIP INDICATORS

1. Details of public policy positions advocated by the entity

L&T actively engages in public policy advocacy across various sectors, aligning with its strategic business interests and commitment to national development. The Company is also a key member in numerous committees of industry associations such as FICCI, CII and councils in sectors such as energy storage, electronics (semiconductor), quality, environment, climate change, capital goods, transport, aerospace, roads & highways, economic policy and others. The Company also continuously engages with nodal agencies, government bodies to provide sector specific inputs and expertise. Key areas of advocacy include:

- **Environmental Regulations:** L&T provides suggestions and inputs towards formulation of policies and regulations that promote creation of a robust environment ecosystem and improve the ease of doing business.
- **Carbon Credit Trading Scheme:** The Company was a part of the public consultation process held by Bureau of Energy Efficiency for finalisation of detailed procedure for participation as a non-obligated entity in the Indian carbon market.
- **Semiconductor and Technology Sector:** L&T has pushed for policy incentives in the semiconductor sector, specifically advocating for chip design incentives to be accessible to all companies. This move is intended to bolster India's capabilities in the semiconductor industry.
- **Double Taxation Avoidance Agreement (DTAA)** with Algeria to promote fair competition for Indian companies in Algeria
- **Continuation of Customs Duty Exemption for Shipbuilding**
- Advocated for **introduction of a broader and inclusive Green Taxonomy** framework in India
- **Nuclear Energy and Small Modular Reactors (SMRs):** The Company has engaged in discussions on policy aspects related to Small Modular Reactors, emphasizing the need for a supportive regulatory framework to advance nuclear energy solutions in India.
- **Supporting Green Hydrogen Policy and Green Hydrogen Mission** by actively participating in public policy consultations and through engagements with regulators and industry associations.
- **Reforms in Public Procurement Models** for enhancing transparency, quality, and innovation in public procurement.

These advocacy efforts are part of L&T's broader strategy to influence policies that align with its business objectives and contribute to India's economic and infrastructural development.

Principle 8: Businesses should promote inclusive growth and equitable development

ESSENTIAL INDICATORS

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA notification No.	Date of notification	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes / No)	Relevant Web Link
Being engaged in the EPC business, Social Impact Assessment (SIA) for the projects are conducted by the customers, and thus this not fall under the purview of the Company.					

2. **Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:**

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
Any R&R owing to the projects falls under the contractual purview of the customer and not the Company.						

3. **Describe the mechanisms to receive and redress grievances of the community.**

The Company has implemented comprehensive grievance redressal mechanisms across its project sites, manufacturing facilities, campuses and offices to effectively collect and address community complaints and grievances. The Administration and Industrial Relations teams at each location manage the collection and resolution of complaints through various channels, including strategically placed complaint/suggestion boxes. Community members can lodge grievances either in writing or orally with the Company's designated personnel. Additionally, the Company provides the contact details on its website <https://www.larsentoubro.com/corporate/contact-us/> and has official social media handles to submit feedback, complaints, or suggestions. All complaints and grievances are directed to the appropriate department or individual for resolution. Progress is tracked until closure, and any unresolved issues or those requiring higher-level intervention are escalated to the respective business heads for appropriate action. Additionally, the Company's whistleblower mechanism provides an alternative channel for lodging grievances, ensuring multiple avenues for the community to voice their concerns.

The Company executes its CSR initiatives through collaborations and partnerships with NGOs, government agencies, and L&T teams across campuses, project sites and operational locations. The primary objective is to enhance the quality of life for individuals and communities while fostering positive and sustainable change. A structured grievance redressal mechanism has been established for CSR projects, providing the community with a platform to voice concerns and ensuring that issues are addressed in a manner that protects both individual and collective interests. Continuous feedback from stakeholders is actively sought to strengthen and improve CSR initiatives.

Grievances related to CSR projects can be submitted in writing, either via email or letter, to the concerned Project Head/Coordinator at the local CSR site. Upon receipt, the Project Head will record the grievance, examine the underlying issues, and formulate an action plan for resolution. Feedback regarding the status of action will be provided within 20 days of receiving the grievance. Alternatively, grievances may also be submitted directly to Corporate CSR by emailing to grievance.csr@larsentoubro.com, with the same commitment to provide feedback within 20 days.

It is important to note that suggestions regarding the expansion of project scopes, requests for support for new activities, or proposals for initiating projects in new locations or geographies fall outside the purview of the grievance redressal mechanism.

4. **Percentage of input material (inputs to total inputs by value) sourced from suppliers:**

Particulars	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ small producers	10%	8%
Directly from within India	70%	69%

Previous year's figure of 'directly from within India' have been restated to reflect the merger of a subsidiary with L&T Standalone.

5. **Job creation in smaller towns - Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost**

In FY2023-24, around 80% of the jobs created was within India and 20% of the jobs were created outside India. Based on the Circular No.: SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024 and clarification provided by 'Industry Standards Note on Business Responsibility and Sustainability Report (BRSR) Core', the disclosure of jobs created in smaller towns has been recalibrated for the reporting year and based on locations within India.

The table below provides the jobs created within India for employees (permanent and other than permanent) and permanent workers. The locations of the jobs created have been identified based on the location of the offices, project sites' offices and manufacturing locations.

Job creation in locations categorised as per RBI Classification System	FY 2024-25	FY 2023-24
Rural areas	10%	4%
Semi-urban areas	6%	2%
Urban areas	4%	4%
Metropolitan areas	80%	70%

The Company employs over 3,54,000 contractual workers annually on an average across its 700+ locations, engaging contractors primarily under two categories: service contracts and manpower contracts. Refer to Principle 5, Essential Indicator Q3(b) to understand the nature of challenges and approach for this disclosure.

The reported data below is based on the CLRA filings done by the Company and on the calendar year basis (Jan-Dec 2024) and provides the jobs created for other than permanent (contractual) workmen created within India. The locations of the jobs created have been identified based on the location of the offices, project sites' offices and manufacturing locations.

Job creation in locations categorised as per RBI Classification System	CY 2024	FY 2023-24
Rural areas	18%	Not tracked and reported
Semi-urban areas	18%	
Urban areas	15%	
Metropolitan areas	49%	

LEADERSHIP INDICATORS

1. **Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):**

Details of negative social impact identified	Corrective action taken
No actions required to be taken by the Company	

2. **Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:**

S. No.	State	Aspirational District	Amount spent (In ₹)
1	Andhra Pradesh	Visakhapatnam	1,80,33,567
2	Assam	Dhubri	59,30,940
3	Jharkhand	Hazaribagh	5,52,842
4	Jharkhand	Ranchi	9,87,000
5	Odisha	Balangir	3,02,924.6
6	Odisha	Kalahandi	3,91,428
7	Punjab	Moga	5,36,999.7
Total			2,67,35,701

3. (a) **Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No). If NA, provide details.**

The Company follows structured procurement practices that align with its commitment to quality, sustainability, and ethical standards. The Company has a Code of Conduct for Suppliers, which emphasises fair working conditions, environmental sustainability, adherence to human rights and ethical business practices. L&T also integrates policies

like Sustainable Supply Chain Policy to promote responsible sourcing and reduce environmental impact. There is no specific preferential procurement policy, but businesses have various processes that facilitate the following:

- Encourage small and medium enterprises (SMEs) in bid submission
- Promote social responsibility and encourage supply chain partners to act responsibly with the stakeholders, especially local and vulnerable communities

Due to the nature of business and bulk material requirement, there are very limited options to procure from these groups and are being sourced from large scale companies.

(b) From which marginalized /vulnerable groups do you procure?

We procure from groups such as person with disabilities, women self help group and others.

(c) What percentage of total procurement (by value) does it constitute?

The Company engages with marginalised and vulnerable groups, such as women-led Self-Help Groups (SHGs), local farmers and small business owners, primarily for the supply of food to canteens at its manufacturing facilities. However, the overall purchase value from these groups remains minimal compared to the Company's total procurement spend. This is largely attributable to the nature of the Company's core operations, which require the procurement of bulk industrial materials such as cement, steel, fuel, pipes, cables, and ready-mix concrete, along with services such as logistics, IT, IT-enabled services (ITES), and manpower subcontracting. These requirements are typically met by large and mid-sized enterprises due to scale, quality, and compliance demands.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
The Company does not have any intellectual property owned, created, or acquired based on traditional knowledge during the year.				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of the Case	Corrective action taken
The Company does not have any intellectual property owned, created, or acquired based on traditional knowledge during the year.		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	Persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Construction Skills Training Institutes and other skilling programmes for women and youth	17,750	100%
2	Enhancing educational infrastructure in schools	2,32,656	100%
3	Promoting STEM Education in schools and Improving quality of education	52,924	100%
4	Water conservation initiatives and Integrated Community Development Programme for Rural Areas	42,962	100%
5	Environment conservation initiatives	5,43,889	100%
6	Community health initiatives	10,09,069	100%
Total		18,99,250	

Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner

ESSENTIAL INDICATORS

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

L&T operates predominantly in the B2B (business-to-business) sector. L&T provides a wide range of services and solutions to various industries, including engineering, construction, manufacturing. L&T has established multiple channels to receive and address consumer complaints and feedback.

- **Communication:** Customer complaints are received through email, transmittal letters, customer complaint registers and even verbally directly by project teams or facility admins. The Company also has a toll-free number and e-mail ID at infodesk@larsentoubro.com for collecting the customer inputs/feedback. Feedback from the customers is collected through a structured feedback form on a periodic basis. Format to record the complaints/feedback as well as SOPs to handle them are part of the Quality Management System. Inputs received from the customers are categorised and forwarded to the relevant teams or departments, which take the necessary action to resolve the complaints and respond to the customers. Each business unit maintains a record of complaints received and resolutions provided. These are reviewed at regular intervals at different management levels, starting from project teams and up to Business Head and Executive Committee level.
- **Physical Offices:** L&T maintains several offices across India where consumers can address their concerns in person or via mail to the concerned department or person.
- **L&T's Investor Relations Cell:** can be contacted at igrc@larsentoubro.com

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

Particulars	As a percentage to total turnover
Environmental and social parameters relevant to the product	
Safe and responsible usage	Not applicable
Recycling and/or safe disposal	

The Company does not manufacture or sell consumer products. The products manufactured by the Company are engineered-to-order equipment, modules, sub-systems etc. which are for process industries and other such sectors. All relevant information e.g., operating parameters, maintenance process etc. are provided for these products.

3. Number of consumer complaints in respect of the following:

Particulars	FY 2024-25 (Current Financial Year)		Remarks	FY 2023-24 (Previous Financial Year)		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	–	0	0	–
Advertising	0	0	–	0	0	–
Cyber-security	0	0	–	0	0	–
Delivery of essential services	0	0	–	0	0	–
Restrictive Trade Practices	0	0	–	0	0	–
Unfair Trade Practices	0	0	–	0	0	–
Other	0	0	–	0	0	–

4. **Details of instances of product recalls on account of safety issues:**

Particulars	Number	Reasons for recall
Voluntary recalls	The products manufactured by the Company are engineered-to-order equipment, modules, sub-systems, which are for process industries and other such sectors. There were no product recalls (voluntary or forced) made on ground of safety in FY 2024-25.	
Forced recalls		

5. **Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No). If available, provide a web-link of the policy.**

L&T demonstrates a strong commitment to cybersecurity and data privacy through comprehensive policies and strategic initiatives:

- **Data Privacy Policy:** L&T's Privacy Policy outlines the collection, use, and protection of personal information. The policy emphasises the secure storage of personal data on password- and firewall-protected servers. It also acknowledges the inherent risks of internet data transmission and advises users accordingly. Additionally, the policy addresses the use of cookies and provides guidance on managing them.
- **Cybersecurity Initiatives:** L&T has partnered with PwC to enhance its cybersecurity infrastructure. This collaboration led to the centralization of 24x7 security operations, addressing challenges such as a rapidly expanding IT landscape and real-time threat identification. The initiative also focused on leveraging hyper-automation and predictive analytics to bolster threat detection and response capabilities.

6. **Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.**

No cases/complaints received in above matters.

7. **Provide the following information relating to data breaches:**

- Number of instances of data breaches along-with impact**
- Percentage of data breaches involving personally identifiable information of customers**
- Impact, if any, of the data breaches**

There were no data breaches during the year.

LEADERSHIP INDICATORS

1. **Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).**

L&T offers detailed information about its diverse products and services through various official channels:

- **Corporate Website:** The primary source for comprehensive details on L&T's offerings is its official website at <https://www.larsentoubro.com>. Here, users can explore the "Products and Services" section, which provides insights into the Company's extensive range of solutions across sectors such as infrastructure, hydrocarbon, power, process industries, precision engineering and other industries.
- **Division Websites:** L&T's various business divisions maintain dedicated websites that offer in-depth information on their specific products and services:
 - **L&T Construction:** as one of the largest construction organisations globally, L&T Construction's website details its capabilities in infrastructure and related sectors.
 - **Hydrocarbon:** details out the capabilities in Offshore, Onshore EPC, Modular Fabrication, Asset Management, Offshore Wind
 - **Heavy Engineering:** showcases the capabilities in Process Plant, Nuclear Power Plant, Special Fabrication Unit and others

- **Other key businesses** such as Rubber Processing Machinery, Construction & Mining Machinery, shipbuilding, Precision Engineering and Systems, L&T-SuFin, L&T-EduTech, L&T-Cloudfiniti and more
- **L&T Realty:** Focused on real estate development, L&T Realty's website offers insights into residential, commercial, and retail projects across India.
- **Annual Reports and Investor Presentations:** L&T's annual reports and investor presentations, accessible through the 'Investors' section of the corporate website, provide detailed overviews of business performance, new projects, and strategic initiatives across various sectors.
- **Social Media Platforms:** L&T maintains active profiles on platforms like LinkedIn, X (formerly Twitter), and YouTube, where the Company shares business updates, project highlights, CSR and sustainability initiatives, information about their products and services, to name a few. By utilising these channels, stakeholders can access detailed and up-to-date information on L&T's diverse products and services across its various business sectors.

2. **Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.**

The Company does not operate in B2C space, and the products manufactured are engineered-to-order equipment, modules, sub-systems which are for process industries and other such sectors. The Company engages with its clients/customers on a regular basis to explain about its products, innovations, new technologies and techniques that are implemented or proposed to be implemented to enhance product quality and features.

3. **Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.**

The Company does not have any direct presence or role in provision of essential services. However, during execution of projects and transportation of machinery/equipment, the clients and concerned public departments/authorities are informed in advance through transmittal letters and their permissions are sought for road closure, traffic diversion, isolation of utility supplies and so on.

4. **Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not applicable)? Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)**

The Company does not manufacture or sell products which are covered under such laws. L&T ensures that the relevant information is provided, which may include detailed technical specifications, safety guidelines, environmental considerations, quality certifications, and user instructions. For certain projects and solutions, especially in sectors like infrastructure, power, and heavy engineering, L&T also shares environmental performance data, sustainability impacts, and operation & maintenance insights with clients. These additional disclosures are aimed at enabling customers and end-users to make informed decisions, enhance safe usage, and support transparency and trust in the Company's product and service delivery.

L&T regularly conducts customer satisfaction surveys across its key business verticals to gather insights on customer experience, service quality, and product performance, which are ingrained in the Quality Management Systems. These surveys are structured to assess customer feedback across major products and services and are conducted in significant locations of operation, including India and international markets.

L&T's customer feedback mechanisms include structured surveys, client review meetings, third-party assessments, and digital platforms, which collectively help in understanding client expectations and areas for improvement. The feedback is collected through a structured questionnaire based on relevant parameters and a 10-point Likert scale. Typically, feedback is collected on a half-yearly or annual basis.

Insights gathered from these surveys are reviewed by senior leadership and integrated into continuous improvement programmes across business units, ensuring alignment with our commitment to customer-centric excellence. Additionally, specific business verticals have dedicated teams that engage with clients and key stakeholders to measure satisfaction levels, address grievances, and enhance service delivery.